

Income from farming [¶27-010]

[¶27-010]

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Income from carrying on a farming or agricultural business is to be included as part of the assessable income of a taxpayer.

Whether an activity is a farming or agricultural business depends on whether the activity or enterprise constitutes a business for tax purposes and whether the business is carried on for farming or agricultural purposes. When a business is a business for tax purposes, there must be an intention by the person to make a profit or a reasonable prospect that the person will make a profit ([¶15-172](#) and [¶15-175](#)).

Farming or agricultural business

Inland Revenue (IR) accepts that soil cultivation, cropping or animal husbandry, growing plants, shrubs or flowers, growing fruit or grapes, beekeeping, poultry farming, sharemilking and running an orchard are activities carried on for farming or agricultural purposes (*Tax Information Bulletin* [¶613-116 Vol 6, No 13](#), May 1995 at 15–16).

Income

In addition to the net profit derived from a farming business, the income of a farmer includes:

- # the market value of meat and produce taken by a sole trader or a partner in a partnership from the farm for private or domestic purposes (QWBA [QB 14/01](#): “Income tax — adjustments for trading stock (including raw materials) taken for own use or consumption”)
- # grazing fees
- # stud fees
- # compensation for condemned livestock and hail damage
- # payments received for non-compliance with covenant to repair
- # insurance proceeds on account of stock or crop losses
- # proceeds from the sale of minerals and timber
- # income equalisation deposit refunds plus interest
- # livestock and unsold wool or other produce on hand at balance date
- # prize money won at agricultural shows
- # income from the provision of farm holidays or other tourist accommodation
- # depreciation recovered on the sale of farming assets, and
- # other income (interest, dividends, etc).

Law: IT07 s [CB 1](#)

Last reviewed on 31 December 2025

Sale and purchase of farm and assets [¶27-011]

[¶27-011]

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There are a number of tax consequences to consider when a farm is purchased or sold.

Allocation of purchase price of property

When a farm property is sold it is usually preferable that values are assigned to the assets in the sale and purchase agreement to prevent later tax disputes (where each party adopts different price allocations of the assets in order to minimise their own tax liabilities). Legislative purchase price allocation rules apply for agreements for the disposal and acquisition of property entered into on or after 1 July 2021. The rules apply when there is a sale of 2 or more assets with different tax treatments (eg a farm sale that involves depreciable assets and non-taxable land). Where the parties have not agreed on an allocation of the purchase price, the purchase price allocation rules set out the order in which allocation is adopted. This is, in turn, the allocation made by the vendor, failing which, the purchaser's allocation or the Commissioner's allocation. See further at [¶33-200](#).

Standing timber

A sale and purchase agreement should include the value of any standing timber. Proceeds from the sale of standing timber (including the sale of land with standing timber) are included as income by the vendor. The year in which a deduction for standing timber may be allocated is determined in accordance with s [DP 11](#) ([¶28-014](#) and [¶28-024](#)).

Buildings

A separate value should be assigned to each building on the farm. Although most buildings had a 0% annual depreciation rate from the 2011–12 to 2019–20 income years, they were still depreciable property such that a disposal could give rise to depreciation recovery income. For the income years 2020–21 to 2023–24, non-residential buildings with an estimated useful life of 50 years or more had a depreciation rate of 2% diminishing value or 1.5% straight line. Thereafter, the rate changed back to 0% for the 2024–25 income year onwards ([¶13-410](#)). Any depreciation recovered on the sale of buildings is taxable to the vendor.

Consumables

Consumables include, among other things, materials such as fencing materials, ear tags, drenches and fertilisers (for fertilisers see [¶27-015](#)). Although the sale of consumable aids creates income for the vendor and a deduction for the purchaser, the deduction available under the general permission is reduced by any unexpired expenditure at the end of the income year ([¶9-011](#)).

Farm development expenditure

The benefit of unamortised farm development expenditure can usually be passed on to the future owner ([¶27-175](#)). A purchaser might wish to ensure that these values are included as a warranty in the sale and purchase agreement. This will help to authenticate any future claims made. From a vendor's point of view, the existence of unamortised expenditure could enhance the sale. There is no recovery of development expenditure on sale of the farm as there is with depreciable assets.

Sale of growing crops

Generally, growing crops form part of the land until severed and are not included by the vendor as income. Whether a payment for unharvested crops in existence at the time of sale of land is income depends on the treatment of the purchase price in the sale and purchase agreement. IR has stated that where the crop has a price that is shown separately in the sale and purchase agreement, that price is income to the vendor and the purchaser can claim an equivalent deduction (*Tax Information Bulletin* [¶44-112 Vol 4, No 4](#), November 1992 at 8, and Case T1 [\(1997\) 18 NZTC 8,001](#)). If no separate price is assigned in the agreement to growing crops, the total crop proceeds will be income to the purchaser when the crop is harvested and sold.

Financial arrangements rules

The sale and purchase of a farm property can have financial arrangements rules implications where there is a deferred settlement involved. This does not include short-term agreements for the sale and purchase of property because they are classified as excepted financial arrangements ([¶16-065](#)). If no financing element is intended in relation to a deferred property settlement, the sale and purchase agreement should contain a clause specifying that the price stated in the agreement is the lowest price that the parties would have agreed on at the time at which the agreement was entered into, on the basis of payment in full at the time at which the first right in the property is to be transferred. Such a clause protects the vendor's position. Where a clause like this is omitted, the purchaser could get a notional interest deduction for part of the purchase price of what would normally be considered a capital payment ([¶16-400](#)).

The Commissioner has also set out the IR position on the income tax treatment of facilitation payments to farmers — being payments made by a lender (typically a bank) to a farmer to assist in the sale of the farmer's business or assets in order for the farmer to settle their debt with the lender — in Commissioner's Statement [CS 21/01](#): "Income tax treatment of facilitation payments to farmers and debt remission on settlement of a loan". A facilitation payment will be taxable income to the farmer under the financial arrangements rules. In addition, if there is any forgiveness of the debt by the lender, in full or in part, this may also result in remission of debt income to the borrower under that loan agreement.

GST considerations

Taxable supplies wholly or partly consisting of land are zero-rated (subject to GST at the rate of 0%) if ([¶132-505](#)):

- # the recipient is GST-registered and intends to use the land for making taxable supplies, and
- # the land is not intended to be used as a principal place of residence by the recipient or a relative of the recipient.

When buying or selling a farming property, it is still generally preferable to use the wording "plus GST (if any)" in the sale and purchase agreement. This fixes the consideration received and payable by both parties net of GST (assuming that the purchaser is GST-registered and can recover any GST impost). However, a GST-registered purchaser who anticipates claiming a secondhand goods input tax credit ([¶132-686](#)) in respect of a purchase might insist on "GST-inclusive" wording to protect their position, should it transpire that the transaction is in fact subject to GST.

Any purchaser buying property that includes a dwelling needs to be aware that the supply will be apportioned between the supply of the land and the supply of the dwelling and that the purchaser may have to pay GST on that portion of the price relating to the dwelling if the vendor has previously claimed an input credit (or adjustment) on it where the price in the sale and purchase agreement is "plus GST" or "plus GST (if any)" ([¶127-061](#) and [¶132-555](#)).

Any person selling a farming operation as a going concern (rather than as a zero-rated supply of land) must specify that fact in writing (preferably within the sale and purchase agreement) and should consider using "plus GST (if any)" pricing. The requirements for the transfer of a going concern are set out more particularly at [¶132-035](#).

Last reviewed on 31 December 2025

Sale of timber [¶27-013]

[¶27-013]

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The general principle is that a farmer who harvests a woodlot situated on the farmer's farm returns as income the amounts realised from the timber sales, with a corresponding deduction being available for the cost of the timber ([¶28-014](#) and [¶28-024](#)).

Law: IT07 ss [CB 24](#), [DP 11](#)

Last reviewed on 31 December 2025

Deductions for farmers [¶27-015]

[¶27-015]

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Farmers can claim the normal deductions allowed in carrying on a business for the purpose of deriving income. There are additional deductions a full-time farmer can claim. These are set out below.

Aircraft expenses

A deduction is permitted for running costs and depreciation in respect of the use of an aircraft for farming purposes. Any apportionment between farming and private use should be based on the total number of flying hours devoted to farming purposes in proportion to total flying hours for the year as recorded in the aircraft's logbook. The costs of obtaining a pilot's licence are not considered by the Commissioner to be deductible, this being an item of capital or private expenditure (*Tax Information Bulletin* ¶614-115 Vol 6, No 14, June 1995 at 24).

Note that if an aircraft is used for both business and private purposes and the aircraft costs \$50,000 or more, or has a market value on date of acquisition of \$50,000 or more if it was not acquired at market value, from the 2014–15 income year expenditure incurred on that aircraft may be subject to apportionment under the mixed-use asset rules in subpart DG (¶10-035).

Note also that, with effect from the 2017–18 income year, provisions have been introduced relating to the timing of aircraft engine overhaul deductions (¶10-127).

Compensation for sheep-worrying damage

The Commissioner permits a farmer a deduction for any compensation paid for any sheep-worrying damage the farmer's working dogs might have done (assuming the particular facts showed this was an ordinary incident of business). The compensation is returned as income by the sheep owner recipient.

Dairy farming expenditure

Certain dairy farming expenditure may be deductible under the general permission, or under s [DO 1](#) or s [DO 4](#) (¶27-165 and ¶27-175).

Interpretation Statement [IS 0025](#): "Dairy farming — deductibility of certain expenditure" sets out the Commissioner's view on the deductibility of a number of expenditure items relating to operating a dairy farm. The Commissioner's conclusions can be summarised as follows:

- # subject to some exceptions, the cost of replacing a single component of milking plant (eg a pump or the pulsator units) is generally deductible
- # some components of a milking plant are non-deductible capital items, because they are unlikely to be replaced other than as part of an upgrade (eg stainless steel pipe work and milk filters)
- # where a number of milking plant components are upgraded at the same time, the cost is usually on capital account and not deductible
- # the cost of replacing an inlet race is a capital expense ([QB 12/01](#): "Income tax — deductibility of expenditure on replacing and extending an inlet race to a dairy shed")
- # the cost of replacing either the rotary platform system or the drive mechanism of the rotary platform is a non-deductible capital expense
- # the cost of replacing the electric motor in a rotary platform system is deductible
- # the piping used in a dairy shed complex is not a fence for the purposes of s [DO 1](#) or [DO 4](#)
- # the piping surrounds are part of the dairy shed complex comprising the shed and adjoining yard
- # the cost of replacing overhead power lines to the dairy shed with an underground system of power is a capital expense and not deductible, and

the cost of a cattle stop constructed in an opening in a fence is deductible ([QB 12/03](#): “Income tax — deductibility of expenditure on cattle stops”).

[QB 25/17](#): “Income tax: Can I claim a deduction for expenses I incur on repairing a recently acquired capital asset?” replaces the discussion in [IS0025](#) as far as it relates to recently acquired plant. [QB 25/17](#) does not focus specifically on dairy farming but may help determine whether a farmer can deduct an amount of repair expenditure incurred in relation to a recently acquired capital asset. The conclusion in that item is that the Commissioner is of the view that the capital limitation prevents a farmer from claiming a deduction for essential repairs to a recently acquired capital asset, but where the capital asset is an item of depreciable property, the farmer may be able to claim a depreciation loss based on the amount of expenditure.

Farm dwelling costs for 2017–18 and later income years

For a discussion of the position prior to the 2017–18 income year, see CCH, *2017 New Zealand Master Tax Guide*.

[IS 17/02](#): “Income tax — deductibility of farmhouse expenses” withdrew and replaced a number of concessions for farmers with effect from the beginning of a farmer’s 2017–18 income year.

The statement notes that the former concessions had permitted some farmers to claim deductions for private expenditure. The statement confirms that deductions for farmhouse expenses are available only to the extent that they are incurred in carrying on the farming business. The previous distinction between a full-time and part-time farmer has been removed. The expenses must satisfy the general permission, ie they must have the necessary relationship both with the taxpayer concerned and the carrying on of the farming business. If an expense satisfies the general permission, it may still not be deductible due to the application of the general limitations. For farmhouse expenses, the private limitation may apply where the person incurring the expense lives in the farmhouse. When a person does live in the farmhouse, any expense incurred on that farmhouse must be apportioned between business and private use based on the facts in that case.

Apportionment methods

The statement states that, generally, for all farming businesses, where it is possible to dissect an expense into deductible and non-deductible amounts, that method should be used first. Where an expense relates to both the business and private use of the farmhouse, dissection may be impractical or impossible. In this situation, the expense will need to be apportioned on some fair and reasonable basis between the business and private portions of the expense. Apportionment will be necessary when a farmer lives in the farmhouse and uses part of it for business purposes. This will generally arise, for example, when sole traders and partners of partnerships live in the farmhouse. The Commissioner considers that apportionment of farmhouse expenses based on time and space would generally be an appropriate method. This is consistent with other businesses.

On the other hand, some expenses will be incurred on the farm as a whole (including the farmhouse). In this situation, the proportion of the expenses that relate to the private use of the farmhouse must be determined. The Commissioner considers that an appropriate method of apportionment in that situation is one that is based on the value of the farmhouse (being the value of the farmhouse, curtilage and improvements to the farmhouse) as a proportion of the total value of the farm and improvements. This is because an apportionment based on time and space might not provide an accurate division between expenses that relate to the farmhouse and expenses that relate to the rest of the farm. The Commissioner will accept a formal valuation or a reasonable estimate of the values of the farmhouse (including curtilage and improvements) and farm. The relative costs of the farm and farmhouse may be a reliable approximation of value at a particular point in time.

Prescribed levels of deductions for certain taxpayers

For larger farming businesses carried on by sole traders and partners in partnerships, the farmhouse may represent a very small proportion of the overall cost of the farm. In this situation, the private element of any expenses will be minimal. However, the compliance costs associated with calculating deductions for interest

and other farmhouse expenses outweigh the tax consequences of any deductions available. Accordingly, the statement sets out circumstances in which the Commissioner will accept prescribed levels of deductions for farmhouse expenses incurred by sole traders and partners who live in the farmhouse. This is instead of always requiring deductions for farmhouse expenses to be based on actual use.

The approach is based on a distinction between:

- # farming businesses where the value of the farmhouse (including curtilage and improvements) is 20% or less of the total value of the farm (Type 1 farms), and
- # farming businesses where the value of the farmhouse (including curtilage and improvements) is more than 20% of the total value of the farm (Type 2 farms).

The value of the farmhouse (including curtilage and improvements) and farm can be used to determine the extent of the private use of the farmhouse. The Commissioner will accept a formal valuation or a reasonable estimate of the values of the farmhouse (including curtilage and improvements) and farm. To reduce compliance costs, the respective costs of the farmhouse and farm may also be used to determine whether the farm is a Type 1 or Type 2 farm.

Farmers who live in the farmhouse on Type 1 farms may do an actual use calculation if they consider that the business use of the farmhouse is greater than 20%. However, the Commissioner will also accept that 20% of the farmhouse is used for business purposes without any supporting evidence. As a result, such farmers can claim 20% of all farmhouse expenses as deductible business expenses. In addition, these farmers may continue to claim 100% of the interest costs relating to the farmhouse and 100% of rates.

For farmers who live in the farmhouse on Type 2 farms, there is no minimum percentage and they must determine whether expenses are deductible under the general permission and general limitations as set out in the statement, ie they must claim deductions relating to the actual business use of the farmhouse.

Telephone rental and fixed line charges

Farmers who operate their business from home may claim 50% of their telephone rental charges, unless they can show that the actual business use of the telephone is greater than 50%. This is the existing practice for other home-based businesses.

The above can be summarised in the following table:

Farm type	Interest and rates charges	General farmhouse expenses	Fixed line telephone charges
Type 1 farms	100% deduction for rates and interest expenses relating to the farm, including the farmhouse.	Dissection where possible, then 20% deduction unless the taxpayer can substantiate a higher deduction.	50% of telephone rental charges used for both business and private purposes, unless the taxpayer can show that 50% is too low.
Type 2 farms	Dissection where possible, then apportion between farm and farmhouse on a fair and reasonable basis. Deduct amounts attributable to actual business use of the farmhouse.		50% of telephone rental charges used for both business and private purposes, unless the taxpayer can show that 50% is too low.

Summary of deductibility of farmhouse expenses

The statement also discusses the deductibility of farmhouse expenses incurred by a person not living in a farmhouse. The following table summarises the deductibility of farmhouse expenses in a number of different situations. The table does not include reimbursement payments made by a farming entity to the occupiers of the farmhouse for purely business-related expenditure. This will usually be deductible.

Entity/structure	Interest	Other expenses
Partnership or sole trader owns/leases and operates farm	Sole trader or partner lives in the farmhouse Apportionment is required. Determine whether the farm is a Type 1 or Type 2 farm and use appropriate method (see above table). For Type 1, 100% deductible.	Sole trader or partner lives in the farmhouse Apportionment is required. Determine whether the farm is a Type 1 or Type 2 farm and use appropriate method (see above table).
	Farmhouse provided to employee 100% deductible.	Farmhouse provided to employee 100% deductible.
	Farmhouse rented at market value 100% deductible.	Farmhouse rented at market value 100% deductible.
	Farmhouse provided for no consideration to someone who is not an employee No expenses are deductible.	Farmhouse provided for no consideration to someone who is not an employee No expenses are deductible.
Company owns and operates farm	100% deductible where requirements of s DB 7 met.	Farmhouse provided to employee 100% deductible.
		Farmhouse provided to shareholder (not an employee) Not deductible as a dividend.
		Farmhouse rented at market value 100% deductible.
		Farmhouse provided for no consideration to someone who is not a shareholder or employee No expenses are deductible.
Trust owns and operates farm (trading trust)	Farmhouse provided to employee 100% deductible.	Farmhouse provided to employee 100% deductible.
	Farmhouse rented at market value 100% deductible.	Farmhouse rented at market value 100% deductible.
	Farmhouse provided to beneficiary who is not an employee No expenses are deductible.	Farmhouse provided to beneficiary who is not an employee No expenses are deductible.
Sole trader, partnership, company or trust owns farm, and farmhouse is leased to another entity at market value	100% deductible for the lessor.	100% deductible for the lessor. Lessee (natural person carrying on the farming business) must apportion rent and other expenses. Determine whether the farm is a Type 1 or Type 2 farm and use appropriate method.

The statement includes a number of useful examples.

Sharemilkers and contract milkers

QWBA [QB 18/09](#): “Income tax — can sharemilkers and contract milkers deduct farmhouse expenditure using the approach in [IS 17/02](#)?” concludes that sharemilkers and contract milkers may use the approach in [IS 17/02](#) to claim a 20% deduction for farmhouse expenditure without calculating actual business use of the farmhouse if:

- # they carry on a sharemilking or contract-milking business as sole traders or a partnership independent from the farm owner’s business

- # the business is of sufficient scale to require its own home office and centre of operations in the sharemilker's or contract milker's farmhouse, and
- # the sharemilker's or contract milker's farmhouse is used in a similar manner to, and extent as, other farmhouses on type 1 farms.

Farm sundries

There are many other materials that a farmer might purchase to meet ordinary and continuous farming requirements. Examples include stock feed, twine, dip and drenches. The Commissioner takes the view that because these sorts of items are not purchased for resale they do not have to be treated as trading stock. For example, any hay acquired upon the purchase of a farm (or acquired during the year for stock feed) is allowed as a deduction when it is possible to attribute a value to the hay. The deduction is available on the basis that it is necessary for the proper carrying on of the farming business (Case E98 [\(1982\) 5 NZTC 59,522](#)).

The prepayments rules apply to purchases of farming sundries. See further at [¶9-011](#) and [¶10-052](#).

Fertiliser and lime

The deduction available for expenditure incurred in the acquisition or application of fertiliser or lime may be spread over all or any of the 4 income years after the income year in which that expenditure was incurred in the proportions the farmer chooses. The concession is exercisable upon the farmer giving the Commissioner notice that the farmer is electing to take advantage of the concession. Note that from 1 April 2020, it has been clarified that the notice requirements for the concession are satisfied when the taxpayer files their tax return on that basis.

It should be emphasised that the option is an alternative to claiming the deduction outright (ie the farmer has the option of spreading the deduction over the 4-year period or claiming all of it in the year in which the expenditure was incurred). If a farmer who has made an election to spread the deduction dies or ceases to carry on the farming business before the deduction spread is complete, the balance of undeducted expenditure may be allocated to the income year in which the farmer ceases to carry on the farming business or equally over the income years covering the income year in which the expenditure was incurred and the subsequent income years up until the farming business ceased.

Where 2 persons are in a partnership and one withdraws, the continuing party's share of the cost of any unexpended balance of fertiliser or lime is allowed against that person's income in the remaining years of election. The withdrawing partner will generally be subject to the cessation of business provisions ([¶123-050](#)), unless that person commences farming independently. In such a case, the ex-partner's share of the remaining cost can be claimed against individual farming income in the remaining years of election.

Determination DEP 81: "Fertiliser storage facilities and remedial matters relating to the depreciation of buildings and grandparented structures" was issued following the issue of Interpretation Statement [IS 10/02](#): "Meaning of 'building' in the depreciation provisions". The statement concluded that a building is a structure that has walls and a roof, is of considerable size, is meant to last a considerable period of time and is generally fixed to the land on which it stands. A building is a structure that can function independently of any other but is not necessarily a physically separate structure.

Interpretation Statement [IS 22/04](#): "Claiming depreciation on buildings" replaces [IS 10/02](#). The statement is accompanied by a fact sheet. The updated statement retains the wider definition of building.

The effect of [IS 22/04](#) (and [IS 10/02](#)) is that some assets that were not previously regarded as buildings now come within the meaning of "buildings". Those assets include barns, including drying barns, and fertiliser works. Assets that were acquired, or for which a binding contract was entered into for their purchase or construction, on or before 30 July 2009 continue to be treated as structures for depreciation purposes. [DEP 81](#) clarified that the existing rates continue to apply to the grandparented structures and set general depreciation rates for fertiliser storage facilities that are associated with fertiliser works, by adding a new

asset class in the “Building and structures” asset category. Fertiliser storage facilities are buildings within the definition of “building” in [IS 22/04](#) and they have an estimated useful life of 33.3 years.

Depreciation rates for barns acquired after 30 July 2009 have an estimated useful life of 20 years and a depreciation rate of 8.5%.

Note that when farm structures were included in the definition of “building” in [IS 10/02](#) the way these structures were treated for depreciation purposes changed. Buildings were subject to a 0% depreciation rate from 2010. However, the farm structures affected by [IS 10/02](#) were grandparented to preserve their depreciation treatment. When the definitions of “building” and “grandparented structure” were repealed by the COVID-19 Response (Taxation and Social Assistance Urgent Measures) Act 2020 as part of the reinstatement of depreciation on non-residential buildings, the repeal inadvertently caused grandparented structures to be categorised as buildings for the purposes of the [Income Tax Act 2007](#) (IT07) and they were no longer eligible for depreciation deductions for loss on disposal. This was not intended by Parliament. Therefore, in 2022 s [EZ 23BD](#) introduced a definition of “grandparented structure” again.

Grass

Regrassing and fertilising expenditure that is part of a significant capital activity (as defined in s [YA 1](#), and [¶27-165](#)) should be capitalised and amortised. All other regressing and fertilising expenditure is fully deductible in the year incurred. Pasture that has an estimated useful life of one year or less is specifically excluded from the capital treatment. Also excluded from the capital account treatment are costs associated with changes in the intensity of farming activities (*Tax Information Bulletin* [¶185-120 Vol 18, No 5](#), June 2006 at 123).

Legal expenses

The Commissioner allows a deduction for legal expenses incurred in raising a mortgage to buy farm property or in borrowing money for farming purposes. A deduction is also allowed for any legal expenses incurred in buying any other farm assets. However, unless s [DB 62](#) applies (see below) no deduction is permitted for legal costs, such as conveyancing fees, incurred in acquiring the asset. Also allowed as a deduction are any legal expenses incurred in connection with the initial entering into or subsequent renewal of lease of farm property or farm assets. Legal costs incurred in the preparation of sharemilking agreements are also deductible. A farmer, carrying on a business, is entitled to utilise the provision related to business-related legal expenses under s [DB 62](#) that allows total legal expenses up to \$10,000 incurred in an income year to be fully deductible in that year. The deduction provision in s [DB 62](#) overrides the capital limitation ([¶10-680](#)).

Motor vehicles

The deduction available to a farmer for motor vehicle expenses is no different from deductions for any other person. When a farmer reimburses an employee, the farmer generally will have 3 choices. These are reimbursing expenditure, providing an allowance, or making a payment based on mileage rates ([¶13-445](#) and [¶10-710](#)).

Repairs and maintenance

The deduction available to a farmer for repairs and maintenance expenses is no different from deductions for any other person ([¶10-840](#)).

Note that the cost of widening or metalling a farm road or track is a capital expenditure ([QB 12/04](#): “Income tax — deductibility of expenditure on widening or metalling a farm access road or track”).

Stock dips, stockyards and fences

The Commissioner allows a deduction for any repairs and maintenance to stock dips, stockyards and fences under general principles (see above “Repairs and maintenance”).

Expenditure constructing a stockyard that is not an integral part of a wider asset is deductible in the year in which it is incurred. However, where a stockyard is an integral part of a wider asset such as a dairy shed or shearing shed, a deduction is not available ([QB 12/05](#): “Income tax — deductibility of expenditure on stock yards”).

Levies, newspapers and subscriptions

A farmer is also allowed a deduction for:

- # levies paid by meat producers, wool growers and maize growers to their respective producer boards
- # levies paid by growers to ENZA (formerly the Apple and Pear Marketing Board)
- # the cost of any newspapers, magazines or journals that provide stock reports or other farming information, and
- # subscriptions to any organisation that is connected to farming (eg Federated Farmers and local A & P associations).

Tree planting expenses

Limited deductions in respect of expenditure incurred by farmers in planting or maintaining trees on the land are permitted under s [DO 3](#). For these deductions to apply, the farming or agricultural business must be the principal business undertaken on that land. The deductions are limited to the lesser of the amount of the tree planting expenses or the tree maintenance expenses incurred and \$7,500 (ie a maximum deduction of \$7,500 is allowed for each type of expense). That part of the expenditure which exceeds \$7,500 is either amortised (for trees not intended for timber production) or capitalised to a cost of timber account in the case of forestry plantings.

The section does not apply to trees planted under a forestry encouragement agreement, trees planted mainly to produce fruit, or trees for which a deduction is allowed under s [DO 2](#) (trees planted for erosion, shelter and water protection — [¶27-165](#)).

In effect, s [DO 3](#) applies only to ornamental trees and, perhaps, to woodlot operations where the farmer is not in the business of forestry. Where a farmer carries on a forestry business, but the farmer's farming or agricultural business is still the principal business undertaken on that land, the farmer in question could claim the expenditure either under s [DP 1](#) (see [¶28-030](#)) or s [DO 3](#). A farmer would claim under s [DP 1](#) where the expenditure exceeded \$7,500.

Law: IT07 ss [DA 1](#), [DB 62](#), [DO 1–DO 4](#), [DO 11](#), [EA 3](#), [EE 48\(3\)](#), [EJ 3](#), [EZ 23BD](#), [Sch 20](#)

Last reviewed on 31 December 2025

Wages paid by farmer to spouse, civil union partner or de facto partner [¶27-030]

[¶27-030]

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Restrictions are imposed on the wages a farmer may pay their spouse, de facto or civil union partner for farm work duties. These restrictions are the same as those imposed on any other person who pays a wage to a spouse, de facto or civil union partner.

Special arrangements need to be made settling the amount of the deduction that the farmer is entitled to claim if the farmer wishes to employ their spouse, de facto or civil union partner to cook for employees.

To be able to claim the deduction, the farmer must satisfy the normal obligations required of employers. A completed form [IR 330](#) must be obtained and PAYE tax deductions and accident compensation levies must be made and accounted for in the proper manner.

Before claiming a deduction for wages paid *for services*, the farmer must satisfy the Commissioner that the payment is for genuine services (not being domestic services or services performed in connection with the home), was exclusively incurred in the production of the income of the farmer and approval for the deduction was granted by the Commissioner before claiming the deduction. Note, however, that the Commissioner may approve a deduction for amounts a farmer pays their spouse or partner to cook for farm employees.

The above is subject to s [GB 23](#), which provides the Commissioner with broad powers to reallocate income and losses between parties where he considers that excessive salary or wages have been paid. See [QB 14/09](#): "Income Tax — Meaning of 'Excessive Remuneration' and 'Excessive Profits or Losses' Paid or Allocated to Relatives, Partners, Shareholders or Directors" which discusses the application of s [GB 23](#).

A similar rule is contained in s [DB 57](#) in respect of payments *other than for services* made to a spouse, civil union or de facto partner.

QB 19/01

QWBA [QB 19/01](#): "What are the requirements for claiming tax deductions for payments to family members for services?" states that to claim a tax deduction for payments to family members for services:

- # the family member must provide services to your business
- # the amount paid must not be excessive, and
- # if the family member is your spouse or partner, you must have the Commissioner's prior approval for a deduction unless you run your business through a company.

The requirements of [QB 19/01](#) are discussed further at [¶10-900](#).

Law: IT07 ss [DB 57](#), [DC 5](#)

Last reviewed on 31 December 2025

Wages paid by farmer to children [¶27-040]

[¶27-040]

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A farmer employing their children should ensure that the following general requirements are met:

- # the services must actually be provided by the children, and
- # the wage paid must not be excessive.

The Commissioner has set out the requirements for claiming tax deductions for payments to family members in [QB 19/01](#): “What are the requirements for claiming tax deductions for payments to family members for services?”.

With effect from the 2012–13 income year a limited tax exemption applies for income of less than \$2,340 earned by children that is not a PAYE income payment from which their employer is required to withhold tax, resident or non-resident passive income, beneficiary income, excluded income or income that is exempt under another provision ([¶13-326](#) and [¶111-035](#)). Therefore, PAYE deductions should be made from wages paid to children in the same way as to any other farm employee.

Wages paid to children should be reasonable. Section [GB 23](#) provides the Commissioner with broad powers to reallocate income and losses between parties where he considers that excessive salary or wages have been paid. See also [QB 14/09](#): “Income Tax — Meaning of ‘Excessive Remuneration’ and ‘Excessive Profits or Losses’ Paid or Allocated to Relatives, Partners, Shareholders or Directors” that discusses the application of s [GB 23](#).

Law: IT07 s [CW 55BB](#)

Last reviewed on 31 December 2025

Domestic employees employed in farmer's household [¶27-045]

[¶27-045]

[Click to open document in a browser](#)

As a general rule, wages paid to a domestic employee employed in a farmer's household are regarded as private expenditure and are not deductible. However, some wages may be claimed as a deduction if the domestic employee is required to perform both farm work and domestic duties about the farmer's household. The amount of the deduction is equal to that portion of the wages that is attributable to farm duties. The cost of any rations supplied should be apportioned in the same manner and a deduction claimed for that portion attributable to employment in farm duties.

A domestic employee who is employed on a full-time basis should be dealt with, for tax purposes, in the same manner as other farm employees. If employment is for a short period or on a part-time basis, the employee may be regarded as a private domestic worker and the farmer is not then required to make PAYE deductions. It is the employee who is responsible for accounting to IR for the tax deductions in that case ([¶3-306](#)).

For a discussion of casual agricultural employees, see [¶3-190](#).

Law: IT07 s [RD 16](#)

Last reviewed on 31 December 2025

Accident compensation levies and health and safety levy for farmers [¶27-060]

[¶27-060]

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In most instances, a farmer is treated as self-employed for accident compensation purposes. This means that, each year, the farmer must pay the ACC levies payable by self-employed persons in addition to the separate health and safety levy imposed on self-employed persons. A self-employed farmer or a farmer who is a shareholder employee of a company can choose to receive a predetermined and guaranteed level of compensation from the ACC ([¶31-055](#)). In respect of the farmer's employees, the farmer must deduct ACC levies from employees' wages (paid as part of the PAYE deduction) ([¶31-015](#)).

Last reviewed on 31 December 2025

GST issues for farmers [¶27-061]

[¶27-061]

[Click to open document in a browser](#)

Sale and purchase of a farm

General issues associated with the sale and purchase of a farm (including going concern issues) are discussed at [¶27-011](#).

Sale of farm including farmhouse

Where the sale of a farm includes a principal place of residence, the sale comprises 2 separate supplies: the supply of the farmland, and the supply of the house and its grounds ([¶32-555](#)).

Compulsory zero-rating provisions apply to supplies wholly or partly consisting of land ([¶32-505](#)). Under the compulsory zero-rating provisions rules a supply of land will be zero-rated if:

- # the supply is made on or after 1 April 2011
- # both the vendor and purchaser are registered for GST
- # the purchaser acquires the goods with the intention of using them for making taxable supplies, and
- # the supply is not a supply of land intended to be used as a principal place of residence of the recipient of the supply or a relative of the recipient.

Example:

Jamie agrees to purchase farmland and a farmhouse for \$1.1 million plus GST, if any. The registered valuation states that the farmland is worth \$980,000 and the farmhouse is worth \$120,000.

The vendor has been using the farmhouse, since purchase in September 1994, as his principal place of residence.

Where a farmhouse, which has been used as a principal place of residence, is included in a larger supply of real property, the supply of the farmhouse will be treated separately to the balance of the real property included in the sale. This is the case regardless of whether GST was previously claimed on the purchase.

In a written statement provided to the vendor, Jamie indicates that she is GST-registered and that she intends to use the farmhouse as her principal place of residence.

Because the vendor claimed GST on the purchase of the farmhouse (as sometimes happened pre-1995), the supply of the farmhouse and surrounding curtilage will be a taxable supply. The supply of the farmhouse cannot be zero-rated, as the farmhouse is not being acquired with the intention of making taxable supplies. Jamie intends to use it for a private purpose. Accordingly, GST will be payable on the supply of the farmhouse at the standard rate of 15%.

The supply of the balance of the farm, ie the land portion, can be zero-rated under the compulsory zero-rating rules provided the criteria stated above are satisfied. As the farmhouse is not included in the supply of the balance of the farm, the use of that property (as a primary place of residence) will not impact the ability to zero-rate the supply.

Before settlement the vendor issues a tax invoice on the basis that GST of \$18,000 is chargeable in respect of the supply of the farmhouse. Since the vendor previously claimed an input tax credit in respect of the farmhouse and supply of the farmhouse is standard rated under this transaction, the vendor must account for the output tax of \$18,000. This may create a problem for Jamie because if the sale and purchase agreement states that the price is "plus GST (if any)" the vendor is able to recover his output tax liability from Jamie. However, Jamie will not be able to claim the GST on that part of the purchase because the farmhouse is not being acquired with the intention of making taxable supplies.

There is no output tax liability under s [20\(3J\)](#) unless Jamie is intending (at the time of acquisition) to use the balance of the farm property partly for non-taxable purposes, eg where a converted shed is intended to be used as the principal place of residence for a farm employee.

Home kill

Livestock taken for home kill is treated as a deemed sale for both income tax and GST purposes and must be accounted for accordingly. Note that [QB 14/01](#): "Income tax — adjustments for trading stock (including

raw materials) taken for own use or consumption” considers the situation where trading stock is taken for a taxpayer’s own use or consumption and concludes that a taxpayer is required to account for any items of trading stock taken for own use or consumption at the market value of the trading stock ([19-087](#)).

Home office expenses

A farmer carrying out the administrative and/or management functions of their farming operation from home is entitled to an input tax credit on a proportion of the expenses incurred. Rates, insurance, telephone rental and toll calls are common “home office” expenses for which GST can be claimed (*Tax Information Bulletin* [135-103 Vol 3, No 5](#), March 1992 at 2).

Partnership issues

For GST registration purposes, a partnership is treated as an entity distinct from its members ([123-110](#)). One of the consequences of registration is that the partnership is required to account for GST on distributions of partnership assets. Difficulties may arise where the distinction between those assets owned by the partnership and those owned by individual members becomes blurred.

Example:

A GST-registered husband and wife partnership operated its farming activity on 2 blocks of land each owned separately by a partner. The partnership later purchased the land from the partners and claimed an input tax deduction. The partners did not account for GST, being unregistered vendors. Although the partnership agreement did not make it clear whether the land was intended to be a partnership asset, the land was used by the partnership, it was recorded in the accounts and the partnership claimed income tax deductions on rates and interest paid in respect of the land. The Commissioner argued that s 57(2) of the Goods and Services Tax Act 1985 deemed the sale of the land by the husband and wife to the partnership to be a supply made by the partnership and not the individual partners. If this approach were accepted the GST outcome would be neutral (output tax would equal the input tax deduction). However, this approach was rejected by the Taxation Review Authority. See Case S84 ([1996](#)) 17 NZTC 7,526. See also Case S83 ([1996](#)) 17 NZTC 7,515. For a contrary view, see Case R11 ([1994](#)) 16 NZTC 6,062.

Subsequent decisions have analysed more closely the GST treatment for co-owners of land and the impact of s 57. In Case U19 ([1999](#)) 19 NZTC 9,186, the Taxation Review Authority held that the co-owners of a farm were an unincorporated body of persons for GST purposes and were liable to be registered. The 3 owners (a husband and wife and their family trust) were also the 3 partners in the partnership that ran the farm. The Authority, drawing from the reasoning in Case P70 ([1992](#)) 14 NZTC 4,469, held that there was a degree of “comity or association between the landowners which transcended the fact that they were joint owners of the land”. They structured their relationship with each other in such a way that they bound themselves to deal collectively with the land. Case U19 was cited with approval by the High Court in *Newman v C of IR*; *Holdsworth v C of IR*; *Hair v C of IR* ([2000](#)) 19 NZTC 15,666.

Deemed registration

There may be instances where a vendor, although not GST-registered at the time of sale, may be liable to be registered for GST purposes. In Case R29 ([1994](#)) 16 NZTC 6,155, a family trust that was not registered for GST sold a farm to an associated person. The Taxation Review Authority found that the rental for farmland leased from the trust included the payment of rates. When the rates were added to the farm rental, the total value of supplies exceeded the threshold for GST registration. The trust was, therefore, liable to be registered for GST and had to account for output tax on the sale. The Authority’s decision has, in the most part, been upheld by the High Court in *The Trustee, Executors and Agency Company New Zealand Ltd v C of IR* ([1997](#)) 18 NZTC 13,076. See also Case R27 ([1994](#)) 16 NZTC 6,148.

Persons who own land jointly (who, when considered separately, would not exceed the threshold for GST registration) may be treated as an “unincorporated body” for GST purposes and could push the land-owning entity beyond the threshold for GST registration.

Example:

A farming couple and their family trust owned a farm. A partnership (made up of the couple and the trust) ran the farming operation. The owners argued that they acted as individuals, rather than collectively, in making the farm available for the partnership's use. No terms or conditions existed to regulate their relationship with one another as co-owners. The Taxation Review Authority rejected this, ruling that the co-owners were an unincorporated body that was liable to be GST-registered. See Case U19 [\(1999\) 19 NZTC 9,186](#).

See also Neil Russ, *GST — A Practical Guide* (11th ed, Wolters Kluwer, Auckland, 2025) at ¶601, ¶602.

Law: GST ss [5\(15\)](#), [\(16\)](#), [11\(1\)\(mb\)](#), [57](#)

Last reviewed on 31 December 2025

Income equalisation schemes [¶27-065]

[¶27-065]

[Click to open document in a browser](#)

There are currently 2 income equalisation schemes. A third, the adverse event income equalisation scheme, was repealed with effect for income years commencing after 18 March 2019 ([¶27-120](#)).

The most common is the main income equalisation scheme. The main scheme enables an eligible person to level out the person's income from year to year by permitting income equalisation deposits with the Commissioner and allowing a deduction for the amounts so deposited. Deposits are included in the person's income when withdrawn. Those persons eligible to take advantage of the main income equalisation scheme are:

- # a person carrying on a farming or agricultural business (including most primary production types of activities, with the exception of stock dealers)
- # a person carrying on a fishing business, including rock oyster, mussel and freshwater fish farming (a person engaged only in buying and selling fish or fish products is not in the business of fishing), and
- # an individual person who derives income from forestry, ie from the disposal of standing, cut, or fallen timber in its natural state grown on land owned by the person in New Zealand or the disposal of the rights to cut or remove such timber, and including permanent forestry income (prior to 23 June 2020, Permanent Forest Sink Initiatives (PFSI) forestry income).

A trustee who is carrying on a business of farming or fishing, or who derives income from forestry, may take advantage of the scheme in relation to their income as a trustee.

In addition to the main income equalisation scheme (outlined at [¶27-070–¶27-080](#)), there is a limited income equalisation scheme for a forestry company earning income from thinning operations ([¶27-085](#)).

Income equalisation deposits are dealt with as public money in accordance with the Public Finance Act 1989. Every amount received by the Commissioner from a person is paid into a Crown Bank Account.

Law: IT07 ss [EH 1–EH 3](#), [EH 34](#), [EH 36](#)

Last reviewed on 31 December 2025

Main income equalisation scheme — deposits [¶27-070]

[¶27-070]

[Click to open document in a browser](#)

A deposit under the main income equalisation scheme may be made by an eligible person at any time during the relevant tax year. Ordinarily, the deposit is regarded as being made in respect of the tax year in which it is made and is consequently deductible in that year. The legislation specifies that a deposit may be made under the scheme in a tax year in respect of the preceding tax year if the person so elects, and if the payment is made within the specified period after the end of the preceding tax year. The specified period is the shorter of the period of 6 months after the end of the tax year and the period from the end of the tax year to the date one month after the due date for furnishing the return.

Where a person wishes to make a deposit in respect of the previous year but fails to make it within the specified period after the end of that year, the Commissioner may allow further time for the making of an election to deposit in respect of the earlier year. The Commissioner has issued a standard practice statement that effectively gives a blanket extension of the deadlines outlined above — see “Deposits made outside the specified period” below.

Minimum and maximum deposit amounts

The maximum deposit that can be deposited in the income equalisation scheme for any tax year is as follows:

- # in the case of income from forestry, an amount equal to the income from forestry derived by the person in that year
- # in the case of income from fishing, an amount equal to the income from fishing derived by the person in that year, and
- # in the case of a farmer:
 - # an amount equal to the net income that the farmer would have in the year if the farmer derived income only from the farming or agricultural business in the tax year, and
 - # for income years commencing before 19 March 2019, the farmer did not make an adverse event deposit ([¶27-120](#)) in the same tax year.

The minimum amount which may be deposited at one time is \$200, unless that amount takes the total deposits for the year over the main maximum deposit for that year, in which case the minimum deposit is the amount required to take the total up to the year's main maximum deposit.

The Commissioner automatically refunds deposits made in excess of the maximum amount as soon as practicable after the refund is calculated.

Main income equalisation account

Every deposit a person makes with the Commissioner must be entered into an income equalisation account kept by the Commissioner in the person's name (the person's main income equalisation account). Only deposits made by the person under the scheme, and interest allowed on those deposits, are credited to such an account (s [EH 5](#)).

Deduction

If a person makes deposits under the main income equalisation scheme in respect of a tax year, a deduction of the amount of those deposits is allowed in the calculation of the person's net income for that year. If the person has made deposits in excess of the maximum — 100% of income — for the year, the deduction is limited to that maximum.

Deposits made outside the specified period

Standard Practice Statement [SPS 19/03](#): “Income equalisation deposits and refunds” applies from 4 April 2019 and replaces [SPS 17/01](#). [SPS 19/03](#) is essentially a repeat of [SPS 17/01](#), but it has been reworded to recognise the repeal of the adverse event income equalisation scheme and to fix some incorrect section references. [SPS 19/03](#) sets out the Commissioner’s practice in relation to the statutory powers to accept income equalisation deposits for a tax year outside the specified period. Note that the statement only applies to the main income equalisation scheme and the thinning operations income equalisation scheme. It does not apply to the adverse event income equalisation scheme.

Briefly, the statement provides as follows:

- # Beyond the specified period for a tax year, the Commissioner will allow a person to make a late deposit for that accounting year if the deposit is made by the earlier of:
 - # one month from the date of filing the return of income for an accounting year, or
 - # one month from the date that the relevant return of income is due to be filed — this includes any extension of time arrangements agreed to by IR.
- # The Commissioner will consider, on a case-by-case basis, requests to allow a late deposit for the nominated accounting year, taking into account the taxpayer’s particular circumstances.
- # Late deposits not accepted by the Commissioner as applying to the nominated accounting year may still be accepted by the Commissioner and applied to the accounting year in which the deposits are made. The person will be contacted and asked whether the deposit is still to be made or the money refunded.
- # A deduction will be allowed for the accounting year in which the deposit is deemed to have been made and once the deposit is physically received by IR.

In February 2023, the Commissioner accepted late deposits for the 2022 income year until 30 June 2023 for farmers and growers affected by the rain and flooding caused by Cyclone Gabrielle.

Due to challenging spring weather and rainfall in Southland and Clutha, ministers declared a medium-scale adverse even in October 2024. Farmers in the affected areas were able to make late deposits for the Income Equalisation Scheme for the 2024 income year up to 1 May 2025 and apply for the early refund of a deposit made prior to 4 October 2024.

Law: IT07 ss [DQ 1](#), [EH 4](#), [EH 5](#), [EH 7](#), [EH 8](#), [EH 35](#), [EH 36](#)

Last reviewed on 31 December 2025

Main income equalisation scheme — refunds and tax credits [¶27-075]

[¶27-075]

[Click to open document in a browser](#)

A person with deposits in a main income equalisation account may apply to IR for a refund of the whole or any part of those deposits. As a general rule, no refunds are available for amounts that have been deposited for less than 12 months before the date of the application for the refund.

Every refund made from the main income equalisation account is deemed to have been made from the person's reserve deposits in the order in which those deposits were made. Also, there is a minimum refund amount of \$200 or the balance in the main income equalisation account, whichever is the smaller.

From 23 July 2020, the refund of an amount in an income equalisation account must be made by direct credit to a nominated bank account, unless the Commissioner is satisfied that paying by direct credit would result in undue hardship to the person or is not practicable.

Early refund for development or recovery

A refund of amounts deposited for 6 months or more may be made if the refund is required to enable the person to undertake planned development or maintenance work or to purchase livestock (other than livestock replacing livestock disposed of or lost as a result of a self-assessed adverse event).

A refund of amounts deposited for less than 6 months may be made if the refund is required to enable the person to purchase replacement livestock as the result of a self-assessed adverse event ([¶27-120](#)). It may also be made to prevent the person suffering serious hardship or for any other reason at the Commissioner's discretion.

As an example, early refunds were allowed for taxpayers who were adversely affected by the flooding and Cyclone Gabrielle events in January and February 2023 on the North Island.

Refund in other circumstances

The other circumstances in which the Commissioner makes a refund from a main income equalisation account are:

- # when the refund is from a deposit in excess of the allowable maximum for the year
- # after the expiration of 5 years, whether the person has applied for a refund or not
- # on application, if the deposit has been in the account for at least one year
- # on the retirement of a farmer or fisher
- # on the death of an individual
- # on the bankruptcy of an individual
- # on the liquidation of a company, and
- # as a consequence of electing to spread income from a *Mycoplasma bovis* culling under s [EZ 4B](#) ([¶27-235](#)).

Refund is income

A refund on the application of the person is ordinarily deemed to have been made in respect of the year in which the application for the refund is received by IR. The amount of the refund is therefore usually deemed to be income derived by the person in the year in which the application for the refund is received, unless the person is entitled to elect otherwise, and does so elect. A refund made on application of the person may be deemed to be income of the person in the year preceding that in which the application was made, if the application is received by IR within the specified period after the end of that preceding year, and the

person so elects in the person's application. The specified period is the shorter of the period of 6 months immediately following the end of the year or the period from the end of the year to one month after the date by which the person is required to furnish a return for that year. See below for the Commissioner's policy on refund requests received outside the specified period.

A refund of an amount deposited for 5 years is income derived by the person in the income year in which the refund is made.

Where refunds result from death, bankruptcy or liquidation, the income is derived by the person immediately before the relevant event. A refund on retirement is income derived by the person in the income year in which they retire. In the case of a refund on retirement or death, an election can be made to allocate the income to an earlier year. In the case of a refund on death of a person, an election may also be made to allocate the income to a later year.

Attributing a refund to the previous year may assist a person in spreading income more evenly, or in obtaining a refund in a year when the person may later want to make a deposit for that year (which may be done if the refund is allocated to the preceding year).

A refund of an excess deposit under s [EH 8](#) is excluded income of the person.

A refund of an amount as a consequence of electing to spread income from a *Mycoplasma bovis* culling under s [EZ 4B](#) is excluded income, except to the extent the amount refunded is interest. Any such interest is income of the person and allocated to the income year in which the person receives the refund.

Tax credit

If a person receives a refund from a main income equalisation account, the amount of the refund is added to the person's income for the appropriate year, and tax for the year is calculated accordingly. If the tax attributable to the refund exceeds the tax saving that the person obtained previously in respect of the deposit of the amount represented by the refund, there is provision for a tax credit in the year in which the refund is assessed, the tax credit being the amount by which the extra tax exceeds the tax saving.

Refund applications made outside the specified period

Standard Practice Statement [SPS 19/03](#): "Income equalisation deposits and refunds" applies from 4 April 2019 and replaces [SPS 17/01](#). [SPS 19/03](#) is essentially a repeat of [SPS 17/01](#), but it has been reworded to recognise the repeal of the adverse event income equalisation scheme and to fix some incorrect section references. [SPS 19/03](#) sets out the Commissioner's practice in relation to the statutory powers to accept refund applications for a tax year outside the specified period. The statement does not apply to refunds made on the retirement, death or bankruptcy of a person, or on a company liquidation, and also does not apply to the adverse income equalisation scheme.

Briefly, in relation to refunds outside the specified period, the statement provides as follows:

- # A late application for a refund from the income equalisation scheme for an accounting year will be accepted by the Commissioner if the application is made by the earlier of:
 - # one month from the date that the return of income for an accounting year is filed, or
 - # one month from the date that the return is due to be filed — this includes any extension of time arrangement agreed to by IR.
- # The Commissioner will consider, on a case-by-case basis, late applications for a refund for a requested accounting year, taking into account the taxpayer's particular circumstances.
- # Late applications for refunds not accepted by the Commissioner as applying to the elected accounting year may still be accepted by the Commissioner and applied to the accounting year in which the applications are made. In this case, the person will be contacted and asked if the application is to be continued with.
- # A refund deemed to be made from an elected accounting year is income to the person for that year.

The statement also briefly discusses the criteria for allowing an early refund of an amount within the 12-month period.

See [¶127-070](#) for early deposits due to declarations of an adverse weather event.

Law: IT07 ss [CB 27](#), [CX 51](#), [CZ 37](#), [EH 8–EH 33](#), [EH 36](#), [EZ 80](#), [EZ 81](#); TAA s [184A](#)

Last reviewed on 31 December 2025

Main income equalisation scheme — interest on deposits [¶27-080]

[¶27-080]

[Click to open document in a browser](#)

Interest is receivable on deposits in a main income equalisation account at the rate of 3% pa. However, if the deposit is withdrawn within 12 months, no interest will be received. Interest on the amount of each deposit is calculated with daily rests from the date of acknowledgment of receipt of the deposit, until the date when the deposit is refunded. Accrued interest is added to the account at 31 March each year, or on the earlier withdrawal of the deposit to which it relates. Interest once credited forms part of the deposit in respect of which it has been allowed for the purpose of calculating further interest, and for the purpose of determining when it may or shall be refunded to the person. However, the interest is not taken into account for the purpose of calculating any deduction for deposits made to the account. When any interest is included in any refund under the scheme, that interest is included with the refund as part of the income of the person for the income year to which the deposit is allocated (Case E86 [\(1982\) 5 NZTC 59,449](#)).

Resident withholding tax

IR set out the following policy on the treatment of resident withholding tax with regard to interest on income equalisation accounts in *Tax Information Bulletin* [¶24-110 Vol 2, No 4](#), November 1990 at 5:

- # Interest income on income equalisation accounts is credited each 31 March. This means that the payer of interest income is required to deduct resident withholding tax on 31 March.
- # When a deposit is withdrawn from an income equalisation account, both the interest on that deposit and the deposit itself are deemed to be assessable income and derived in the year of refund.
- # The recipient is entitled to claim a resident withholding tax credit in the year of refund (ie the year in which the income is deemed to be derived, generally the year in which the application for the refund is received by IR). The recipient is not entitled to claim any resident withholding tax credit in a year when no refund is applied for.

Law: IT07 s [EH 6](#)

Last reviewed on 31 December 2025

Forestry thinning operations income equalisation schemes [¶27-085]

[¶27-085]

[Click to open document in a browser](#)

A forestry company is entitled to make deposits to a thinning operations income equalisation account in respect of income from thinning operations. To qualify under the scheme, the company must be carrying on a forestry business on land in New Zealand. Deposits may be made only in respect of income from carrying out thinning operations, and the maximum deposit in any tax year is an amount equal to the income derived during the tax year from carrying out thinning operations in the year in respect of which the deposit is made. "Thinning operations" means the felling of some trees in an immature stand for the purpose of improving the growth and form of the trees remaining in the stand. The purpose of the tree felling cannot be to permanently break the canopy.

Deposits under the scheme are allowed as a deduction from the income of the company in the year in respect of which they are made. There is no maximum time for which deposits by a forestry company may remain in its equalisation account. Thus, there is no automatic refund after 5 years. A refund is made only on application by the company (after the expiration of at least one year) or on the liquidation of the company. A refund of amounts deposited for at least 6 months may be made if the refund is required to enable the forestry company to undertake planned development or maintenance work for its forestry business. A refund may be made at any time after deposit if it is required to prevent the company suffering serious hardship or for any other reason at the Commissioner's discretion.

A refund made on application or for development or recovery is income of the person. This income is derived in the income year in which the Commissioner receives the refund application. A refund made on liquidation is income of the person that is derived immediately before the liquidation starts.

The Commissioner's policy on accepting income equalisation deposits and refund applications for an accounting year outside the specified period also applies to forestry income from thinning ([SPS 19/03](#), [¶27-070](#) and [¶27-075](#)).

Law: IT07 ss [CB 27](#), [DQ 3](#), [EH 63](#)–[EH 79](#)

Last reviewed on 31 December 2025

Adverse event income equalisation scheme prior to 19 March 2019 [¶27-120]

[¶27-120]

[Click to open document in a browser](#)

An adverse event income equalisation scheme operated in addition to the main income equalisation scheme under former ss [EH 37](#) to [EH 62](#). The special adverse event account assisted farmers who experienced adverse events (at a local rather than regional level) to carry income from forced livestock disposals over to the next income year. The amount deposited did not become taxable until the year in which it was withdrawn.

With effect for income years commencing after 18 March 2019, the adverse event scheme was repealed and existing balances in the scheme have been transferred to the main income equalisation scheme. Future deposits as a result of forced sales will be made under the main scheme. For further information on the repealed scheme, refer to CCH, *2021 New Zealand Master Tax Guide*.

Last reviewed on 31 December 2025

Farm development expenditure [¶27-165]

[¶27-165]

[Click to open document in a browser](#)

All persons engaged in the business of farming or agriculture on land in New Zealand are able to claim a full deduction for certain capital development expenditure. The concept of a farming or agricultural business is discussed at [¶27-010](#). Deductions will be permitted for expenditure incurred for the following:

- # the destruction of weeds, plants or animal pests detrimental to the land
- # the clearing, destruction or removal of scrub, stumps and undergrowth
- # the repair of flood or erosion damage to the land
- # the planting or maintaining of trees for the purpose of providing shelter, preventing or combating erosion, or preventing or mitigating detrimental effects on a watercourse or body of water from the discharge of farming or agricultural contaminants
- # the construction on the land of fences for farming or agricultural purposes, including the purchase of wire or wire netting for the purpose of making new or existing fences rabbit-proof, and
- # the regressing and fertilising of all types of pasture, if the expenditure is not incurred in the course of a "significant capital activity".

A "significant capital activity" means an activity that enables a change in the nature or character of the farming being undertaken on the land, but it does not include an activity that enables a change to the intensity of the farming practice (*Tax Information Bulletin* [¶185-120 Vol 18, No 5](#), June 2006 at 123).

If a person (being the owner of a freehold or leasehold estate in land and who has leased or subleased the land to a person who carries on a farming or agriculture business on that land) incurs expenditure for which they are allowed a deduction under ss [DO 1](#), [DO 2](#), [DO 4](#), [DO 5](#) or [DO 6](#), or they are allowed a deduction for expenditure incurred by another person, then the relevant provision applies as if the person were personally carrying on a farming or agriculture business on the land during the currency of the lease or sublease.

More recently dairy and cattle farmers have been purchasing dung beetles to assist with improving pasture quality. The cost of dung beetles should be deductible as the expenditure is incurred to enhance the land and soil quality.

Law: IT07 ss [DO 1](#), [DO 2](#), [DO 10](#), [YA 1](#) ("[significant capital activity](#)")

Last reviewed on 31 December 2025

Amortisation deductions for land improvements [¶27-175]

[¶27-175]

[Click to open document in a browser](#)

An amortisation type of deduction is available for certain expenses incurred in effecting land improvements. The person claiming the deduction must be carrying on a farming or agricultural business. Some of the types of expenditure for which an amortisation deduction is permitted are:

- # construction of access roads or tracks to, or on, the land
- # sinking of bores or wells for the purpose of supplying water for use on the land
- # planting of non-listed horticultural plants on the land (see below)
- # construction on the land of supporting frames for growing crops, and
- # construction on the land of structures for shelter purposes.

A full list of the eligible expenses can be found in [Sch 20 pt A](#).

The amount of the deduction allowed is the relevant percentage ([Sch 20](#)) of the diminished value of the expenditure, ie the relevant percentage is applied to the amount of the expenditure originally incurred, less all amounts previously deducted. Note that prior to 1 April 2013, a 20% loading on top of the percentage rates set out in [Sch 20](#) applied to the relevant expenditure. However, with the removal of the 20% loading on depreciable assets generally, the government also sought to remove the 20% loading on development expenditure.

A person who owns the land can deduct both expenditure incurred by the person and expenditure incurred by any other person (eg a former owner of the land). A person who does not own the land can deduct only expenditure that person has incurred. Before a deduction is allowed, it must be shown that the expenditure was of benefit to the business in the income year to which it relates. No deduction is available in the income year in which the person disposes of the land.

Non-listed horticultural plants

Briefly, a “non-listed horticultural plant” is a horticultural plant, tree, vine, bush, cane or similar plant that is cultivated on land and is not a listed horticultural plant ([¶27-400](#)). Ornamental trees or plants are included in the definition. Specifically excluded from the definition are trees planted mainly for the purpose of timber production.

A deduction for the planting of non-listed horticultural plants is determined under the above rules. The relevant percentage of amortisation is 10% of the diminished value of the expenditure. If any question arises as to whether trees are planted mainly for the purpose of timber production, a certificate issued by any of the following people will be conclusive evidence for the purposes of the deduction:

- # a properly authorised officer of the relevant Regional Council
- # a properly authorised officer of the Ministry of Forestry, or
- # any other person suitably qualified to give a certificate.

Deductions for planting listed horticultural plants are covered at [¶27-390](#) to [¶27-410](#).

Capital contributions

A “capital contribution” is a payment received under an agreement that is to be applied towards the acquisition of “capital contribution property” under the terms of the agreement. Capital contribution property includes improvements for which expenditure is or would be deductible for the recipient under s [DO 4](#) or [DO 11](#).

Capital contributions received by a person are treated as income under s [CG 8](#) in the year of receipt and the following 9 years ([¶15-356](#)), unless the person elects to apply s [DB 64](#). If s [DB 64](#) is applied, the

capital contribution will reduce the amount of the expenditure for the purposes of applying s [DO 4](#) or [DO 11](#) ([¶10-200](#)).

Plants ceasing to exist

Expenditure incurred in the planting of non-listed horticultural plants may be written off where the plants have been scrapped by the person or have ceased to be used to derive income.

Inland Revenue policy on land improvements

IR set out its policy on claiming deductions for expenditure on land improvements used for farming or agriculture, land improvements used for forestry, and improvements in relation to aquaculture, in *Tax Information Bulletin* [¶512-104 Vol 5, No 12](#), May 1994 at 2.

Depreciable property does not include (with a limited exception) property for which a person is allowed a deduction for the cost other than under subpart [EE](#).

Example:

A farmer constructed an access track for use by his stock. The track included a culvert under a road. In the past, he has claimed a deduction of 6% pa on this expenditure under [Sch 20 pt A cl 4](#) of the IT07. However, after looking through the depreciation schedule, he found that this included both roads and culverts. Because the farmer was eligible for a deduction under s [DO 4](#) for the expenditure specified in [Sch 20](#), no deduction was allowable under the depreciation rules.

Generally, if expenditure on a land improvement is deductible to the original owner, the new owner cannot depreciate the land improvement ([¶13-034](#)).

Destroyed land improvements

A deduction is allowed for the book value of expenditure for land improvements that have been amortised in accordance with [Sch 20](#) and that are destroyed or made useless. The damage must not have been caused by a person's action or failure to act.

An additional deduction is also permitted for the cost of removing the destroyed or useless [Sch 20](#) improvement from the land.

Law: IT07 ss [CG 8](#), [DB 64](#), [DO 4](#), [DO 11](#), [EE 7\(i\)](#), [YA 1](#) ("capital contribution", "capital contribution property", "non-listed horticultural plant"), [Sch 20 pt A](#); TAA s [44C\(3\)](#), [\(4\)](#)

Last reviewed on 31 December 2025

Livestock as trading stock [¶27-220]

[¶27-220]

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Any person who carries on a business must take into account the value of the person's trading stock at the beginning of the income year. For these purposes, livestock used in a dealing business is included in the definition of "trading stock". The opening and closing values of such livestock are taken into account in the calculation of net income or net loss for that year (s [EB 3](#)). This is accomplished as follows:

- # an amount equal to the value of the livestock on hand at the end of the previous income year as calculated under s [EB 3](#) is allowed as a deduction, and
- # the value of livestock at the end of the current year calculated under s [EB 3](#) is a person's income.

The difference between the 2 is the amount that is actually included as income. That amount may, of course, be income or a deduction, depending on whether the end-of-year value is more or less than the value at the end of the previous year. Provision is made for the method of valuing trading stock at the beginning and end of the income year. The opening value is to be the value of the trading stock as at the end of the previous income year.

The livestock valuation rules govern the valuation of closing livestock numbers for the purpose of determining a farmer's net income. These rules are contained mainly in subpart [EC](#). Provision is made in s [FB 13](#) for determining the transfer value where trading stock is transferred under relationship agreements (the term "relationship agreements" extends to agreements between de facto and civil union partners in circumstances where the Property (Relationships) Act 1976 applies). Also see ss [FB 13\(6\)](#) and [FB 14](#) in relation to specified livestock transferred under a relationship agreement.

The livestock valuation options contained in subpart [EC](#) do not apply to livestock used in dealing operations. Such livestock continue to be dealt with under the normal trading stock rules.

The trading stock valuation rules are discussed further beginning at [¶9-020](#).

Adverse event

If livestock is donated for use in a business affected by a self-assessed adverse event, it is treated as leaving the donor's business at zero value and entering the recipient's business at zero value.

For a discussion of the tax treatment of trading stock (other than livestock) donated as a result of a self-assessed adverse event ([¶9-087](#)).

Law: IT07 ss [CH 1](#), [DB 49](#), [EA 1](#), [EB 1–EB 3](#), [EC 5](#), [FB 13](#), [FB 14](#)

Last reviewed on 31 December 2025

Main features of livestock valuation schemes [¶27-235]

[¶27-235]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2024–25, Emergency Response, and Remedial Measures) Act 2025 contained a retrospective amendment to clarify livestock includes land and sea animals that are farmed commercially, and must be valued under subpart [EC](#) of IT07 for tax purposes.

A person who owns or carries on business (other than a livestock dealing business) has 4 main valuation options to choose from when livestock is held for the purposes of sale or exchange in the carrying on of that business: the herd scheme, the market value or replacement price options, the national standard cost scheme, and the self-assessed cost option.

The Commissioner, in [OS 25/02](#): “Valuation of livestock”, discusses IR’s view of the legislation and how taxpayers are expected to deal with certain practical issues from a tax perspective. Specifically, it sets out the options farmers have for valuing the livestock they have on hand at balance date.

Herd scheme

The herd scheme exempts all movements in herd values from tax. Only increases or decreases in stock numbers valued under the scheme have tax consequences. The main features of the herd scheme are as follows:

- # All livestock classes remain eligible for the herd scheme.
- # Farmers in the herd scheme are able to value some stock of a class under an alternative valuation option, such as national standard cost. This is the case provided the herd numbers do not fall below the lesser of the closing number for the previous year or the number on hand.
- # An exception is that all breeding sires must be valued in the herd scheme where animals of the same type are valued under a cost scheme.
- # Animals of a class can be moved into the herd scheme progressively as there is no requirement to include all animals of a class on the scheme at once. Effectively, the use of the scheme is allowed on an animal-by-animal basis.
- # Farmers have the ability to influence the level of income arising from increased herd livestock by valuing the increased numbers under an alternative valuation option, and by controlling the movement of animals on to the herd scheme.
- # Differential herd values (ranging from 90% to 130%) allow farmers to select a value that is more in line with the true value of their livestock, provided the choice is supported by independent valuation. The change from 100% to a differential herd value is income (or a deduction).
- # National average market values are set using a “snapshot” of livestock values on a particular date.

Elections to use the herd scheme are irrevocable ([¶27-264](#)).

Market value and replacement price schemes

In broad terms, the market value and replacement price options achieve the same result for livestock valuation purposes. Use of these options should be supported by a valuation from a recognised livestock agent. There is free movement between these options and the national standard cost and self-assessed cost schemes. However, the market value and replacement price options are unlikely to be used unless these values fall below cost ([¶27-266](#)).

National standard cost scheme

The national standard cost scheme is based on national average costs of production. A farmer will apply national standard costs to homebred stock, while all purchased stock will be valued at purchase price.

The average of these costs will be applied to stock on hand at year's end to derive a closing value. The difference between opening and closing stock value is taken into account in determining income. The self-assessed cost scheme is an alternative cost option. The main variation between the national standard cost scheme and the self-assessed cost option is that self-assessed costs use a farmer's own costs of production, while national standard costs use nationally provided average costs. The main features of the national standard cost scheme are as follows ([¶127-267](#)):

- # The scheme is based on national average costs of production.
- # Homebred stock are valued using national average costs for breeding, rearing and growing.
- # A national average rearing and growing cost will be added to homebred rising 2-year stock.
- # Except for rising 3-year male non-breeding stock, no rearing and growing costs will be added beyond homebred rising 2-year stage. Costs are accumulated to maturity (generally rising 2-year stage) and are held at that level within an inventory system until the stock is disposed of (ie the cost of an animal will remain constant for its mature life).
- # An inventory system is required for mature mixed-age classes to calculate closing inventory value under national standard cost. The minimum standard of an inventory system is the average cost inventory system. More complicated alternatives are specific identification and first-in first-out (FIFO) costing.
- # All purchased livestock are taken into account at actual purchase price.
- # The average of homebred costs and purchase costs is applied to stock on hand at year's end to derive a closing value.
- # Free movement between national standard cost, market value or replacement price on an inventory grouping basis is allowed, but a 2-year notice period is required for movement between national standard cost and self-assessed cost ([¶127-295](#)).
- # The national standard cost scheme can be used in conjunction with the herd scheme.

Self-assessed cost

The self-assessed cost option is based on farmers assessing their own costs according to guidelines issued by the Commissioner of IR. The national standard cost scheme uses national average costs of production. The self-assessed cost guidelines use livestock units (a well-accepted unit based on feed intake) to apportion farm costs between livestock types. The apportioned costs are accumulated to determine the cost of livestock production in a year. The main features of the self-assessed cost option are as follows ([¶127-268](#)):

- # Self-assessed cost is an alternative to national standard cost for persons who wish to assess their own costs.
- # Persons cannot use the self-assessed cost option and the national standard cost scheme in the same income year. Any change from the self-assessed cost option to the national standard cost scheme requires 2 years' notice. See further at [¶127-295](#).
- # The rules governing the self-assessed cost option are not contained in legislation but are set out in guidelines issued by IR (*Tax Information Bulletin* [¶147-135 Vol 4, No 7](#), March 1993, Appendix A).

Other areas covered by the livestock valuation provisions

The other areas covered by the livestock valuation provisions are: high-priced livestock; non-specified livestock; movement between schemes; and income equalisation and adverse event provisions.

High-priced livestock

Livestock that qualifies as "high-priced livestock", as defined in s [YA 1](#), must be valued under the provisions governing this type of livestock. The high-priced livestock scheme applies only to livestock costing \$500 or more. The purchase price must also be at least 5 times the greater of the national average market value for the relevant livestock class for the income year in which the animal is purchased and the national average market value for the same livestock class for the immediately preceding income year. Straight-line or

diminishing value depreciation is available at the person's option. Once animals have been depreciated to the national average market values, they must be removed from the high-priced regime and valued under one of the other options ([¶127-290](#)).

Non-specified livestock

Non-specified livestock (eg rabbits, opossums, emus, alpacas, and horses that do not come within the definition of "bloodstock" ([¶127-300](#))) is valued under ([¶127-280](#)):

- # the market value option
- # the replacement price option
- # the cost price option, or
- # if the Commissioner agrees, the standard value option.

Movement between schemes

The main features of the rules governing movement between schemes are as follows ([¶127-295](#)):

- # There is free movement from the national standard cost or from the self-assessed cost scheme to the market value or replacement price schemes.
- # A person can move animals to the herd scheme at any time on an animal-by-animal basis; this applies to the adoption of the scheme and to progressive movement of stock numbers or classes to the herd scheme.
- # Any increase in stock numbers in any herd class valued under the herd scheme can be valued under an alternative valuation option provided a minimum number is valued under the herd scheme.
- # In some cases, notice of an election to change valuation methods must be given.
- # A person cannot use both the national standard cost and self-assessed cost in the same year.
- # An election to use the herd scheme is irrevocable, with limited exceptions.

Amendments for *Mycoplasma bovis*

Legislative changes were enacted in 2021 to ensure that farmers whose herds were culled in response to the *Mycoplasma* eradication programme do not face an undue tax burden.

In summary, farmers that have culled their breeding livestock (including growing replacements) because of *Mycoplasma bovis* can spread the additional income derived as a result of the cull of that stock over the following 6 years. The income is only able to be spread if:

- # The business has been subject to Biosecurity Security New Zealand requiring a cull of *Mycoplasma bovis* affected stock.
- # The business is a dairy or a beef breeding operation, with the breeding stock that is culled being valued under national standard cost or the cost price method. The expectation is that the breeding stock that is culled would comprise mainly mixed-aged cows, in combination with any other class of breeding stock.
- # The stock is substantially replaced through purchasing equivalent breeding stock by the end of the income year following the cull year.
- # The replacement stock continues to be valued using, as relevant, national standard cost or the cost price method. This is to ensure that farmers cannot enter the herd scheme on more advantageous terms than those not affected by *Mycoplasma bovis*.

Given that a livestock owner might use a couple of valuation methods in combination, not all of the breeding stock might be valued at cost. However, only the income derived from the culling of the breeding stock valued under the national standard cost scheme or the cost price method is able to be spread. For this purpose, breeding stock includes immature female stock intended for future breeding in the business.

Owners of the affected livestock, including sharemilkers, are covered; that is, the ability to spread income from the cull is not limited to just the owners of farmland with livestock.

The qualifying proceeds from the cull will comprise payments from the slaughterhouse, top-up compensation from the government for the difference between the normal market value for the stock and the payments from the slaughterhouse, and in some cases, further compensation to cover the additional cost of purchasing equivalent replacement stock.

Amendments also ensure that affected farmers who had already made deposits in the main income equalisation scheme or in the adverse event income equalisation scheme (prior to its repeal) have the option of switching to the 6-year income-spreading approach, with the tax effects of the deposits then being reversed.

The income arising from the culling of stock valued under another valuation method, or stock culled from a fattening stock business valued under the national standard cost scheme, does not qualify for this spreading provision. The income equalisation scheme is available in those circumstances to mitigate the income implications of the cull.

To assist farmers wishing to use the income equalisation scheme, a class of case has been approved for those who were instructed by Biosecurity New Zealand to cull livestock because of *Mycoplasma bovis*. This allows for late deposits up to 30 April 2020 and for early refunds.

The amendments apply retrospectively from the 2017–18 income year, as the culls began in late 2017, and terminate before the 2028–29 income year.

Law: IT07 subpart [EC](#), ss [EZ 4B](#), [EZ 80](#), [EZ 81](#), [YA 1](#) (“bloodstock”, “high-priced livestock”)

Last reviewed on 31 December 2025

Specified livestock [¶27-260]

[¶27-260]

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There are 6 different types of specified livestock. These are sheep, beef cattle, dairy cattle, deer, goats and pigs. These types are set out in column 1 of [Sch 17](#) of the IT07, together with the various classes into which those types of specified livestock are divided (column 2). These classes of livestock are referred to in all valuation methods.

For the purposes of the national standard cost scheme, livestock are also classified into categories and inventory groupings:

- # There are 16 categories of livestock. These are the categories for which national standard costs are declared annually for the purpose of the national standard cost scheme. These categories are set out in [Sch 18](#).

- # There are 2 inventory groupings referred to in the national standard cost scheme. These are: rising one-year stock, and mature stock (which includes rising 2-year stock).

Each year, there are declared national average market values for use under the herd scheme and national standard costs for use under the national standard cost scheme ([¶27-264](#) and [¶27-267](#)).

Specified livestock excludes animals that are high-priced livestock, except as provided in s [EC 37](#) in relation to bailment ([¶27-272](#)).

Law: IT07 s [YA 1](#) ("high-priced livestock", "specified livestock"), [Schs 17, 18](#)

Last reviewed on 31 December 2025

Herd scheme [¶27-264]

[¶27-264]

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The herd scheme is a valuation method that farmers can apply to each type of specified livestock (sheep, cattle, deer, goats and pigs). It values each type of livestock on the basis of age classes at national average market values (NAMV) set annually. In each income year, herd livestock on hand at both opening and closing balance dates are valued at the NAMV announced for that income year. The difference is recorded in the statement of financial position as a “livestock revaluation reserve”. This effectively removes any income arising from the movement of livestock values between years. The philosophy underlying the herd scheme is the treatment of the herd as a capital asset. It is for this reason that movements in the NAMV between years are treated as a capital gain or loss to the farmer. Although these overriding principles have been maintained, a number of changes have been made which increase the flexibility of the scheme. In addition, improvements have been made to the way in which the NAMV are calculated each year, thereby increasing the accuracy of the valuations. These alterations and additions are as follows:

- # Dairy and beef cattle have been separated into 2 livestock types.
- # The classes of livestock eligible for the herd scheme have been widened. A farmer can select which classes of livestock to value under the scheme and can value any number of livestock under that scheme. Previously, a farmer was required to value all core classes of mature stock (mainly breeding stock) under the scheme and was required to value all animals of a class on that scheme.
- # Subject to meeting minimum number requirements, any increase in numbers of livestock valued under the herd scheme may be valued under another valuation option (an alternative valuation option). An exception is that all breeding sires must be valued in the herd scheme where some animals of the same type are valued under the herd scheme. A further exception is that livestock qualifying as high-priced livestock must be valued under the high-priced livestock scheme.
- # Animals of a class which have been valued using the herd scheme cannot be switched to another valuation option. This measure was introduced to prevent farmers from achieving tax advantages by switching freely to and from the herd scheme. A limited exception applies to the irrevocability of herd scheme elections where there is a change of farming operations from a breeding operation to a fattening operation.

The purchaser in an associated party transaction must adopt the vendor's herd scheme elections and base herd numbers. The herd scheme values applied to the transfer depend upon which tax year the transfer takes place in as between the parties, ie whether in the same tax year for both parties, or in an earlier or later tax year for the transferee. A limited exception to the associated parties rule applies to inter-generational transfers made at market value and on commercial terms and conditions (other than those relating to financing). A 4-year time frame also applies to the exception — if the vendor recommences a farming business within this period, the transferee will be required to adopt the herd scheme with retrospective effect. See discussion below.

- # Animals of a class can be moved into the herd scheme progressively, as there is no requirement to include all animals of a class in the scheme at once.
- # Farmers may elect to value their herd value livestock at a value that varies from the NAMV, provided the choice is supported by independent valuation. The differential herd value, or herd value ratio, is 90%, 100%, 110%, 120% or 130% of the year's NAMV for any or all of the types of livestock. The Tax Education Office noted that by adopting such ratios, a taxpayer's livestock may be valued more accurately by taking into account regional values and variations in quality of livestock from farm to farm. These advantages may be outweighed, however, by the Commissioner's ability to require the ratio to be reassessed. See *Tax Education Office Newsletter* No 142 at 6.
- # National average market values are set using a “snapshot” of livestock values on a particular date.

National average market values

The NAMV used to value livestock under the herd scheme are calculated using the “snapshot” valuation method. This method uses a survey based on the opinions of livestock valuers on a particular date. The snapshot will be taken on 30 April each year (*Tax Information Bulletin* ¶51-102 Vol 5, No 1, July 1993 at 4).

The NAMV are set by the Commissioner by determination for each class of specified livestock set out in column 2 of [Sch 17](#) of the IT07. The determination is made in May of each year after a national survey of market values at 30 April. These values apply to the income year for which they are set, whether the income year started before, on or after the date on which the determination was made. National average market values are also used as a base for the high-priced livestock scheme.

The following table sets out the NAMV for specified livestock on hand at the end of the 2024–25 income year. These rates were set by the National Average Market Values of Specified Livestock Determination, 2025.

National Average Market Values

Type of Livestock	Classes of Livestock	Average Market Value per Head
		\$
Sheep		
	Ewe hoggets	147.00
	Ram and wether hoggets	145.00
	Two-tooth ewes	201.00
	Mixed-age ewes (rising three-year and four-year old ewes)	178.00
	Rising five-year and older ewes	148.00
	Mixed-age wethers	111.00
	Breeding rams	310.00
Beef cattle		
<i>Beef breeds and beef crosses:</i>		
	Rising one-year heifers	944.00
	Rising two-year heifers	1521.00
	Mixed-age cows	1865.00
	Rising one-year steers and bulls	1181.00
	Rising two-year steers and bulls	1741.00
	Rising three-year and older steers and bulls	2172.00
	Breeding bulls	3534.00
Dairy cattle		
<i>Friesian and related breeds, Jersey and other dairy breeds:</i>		
	Rising one-year heifers	1007.00
	Rising two-year heifers	1826.00
	Mixed-age cows	2111.00
	Rising one-year steers and bulls	967.00
	Rising two-year steers and bulls	1600.00
	Rising three-year and older steers and bulls	2048.00
	Breeding bulls	2290.00

Deer*Red deer, wapiti, elk, and related crossbreeds:*

Rising one-year hinds	293.00
Rising two-year hinds	507.00
Mixed-age hinds	602.00
Rising one-year stags	359.00
Rising two-year and older stags (non-breeding)	767.00
Breeding stags	3330.00

Other breeds:

Rising one-year hinds	166.00
Rising two-year hinds	286.00
Mixed-age hinds	338.00
Rising one-year stags	213.00
Rising two-year and older stags (non-breeding)	362.00
Breeding stags	1171.00

Goats*Angora and angora crosses (mohair producing):*

Rising one-year does	145.00
Mixed-age does	139.00
Rising one-year bucks (non-breeding)/wethers	90.00
Bucks (non-breeding)/wethers over one year	83.00
Breeding bucks	488.00

Other fibre and meat producing goats (Cashmere or Cashgora producing):

Rising one-year does	69.00
Mixed-age does	106.00
Rising one-year bucks (non-breeding)/wethers	68.00
Bucks (non-breeding)/wethers over one year	75.00
Breeding bucks	652.00

Milking (dairy) goats:

Rising one-year does	145.00
Does over one year	215.00
Breeding bucks	403.00
Other dairy goats (culls)	59.00

Pigs

Breeding sows less than one year of age	274.00
Breeding sows over one year	370.00
Breeding boars	393.00
Weaners less than 10 weeks of age (excluding sucklings)	132.00

Growing pigs 10 to 17 weeks of age (porkers and baconers)	207.00
Growing pigs over 17 weeks of age (baconers)	319.00

Moving animals to and from herd scheme

All specified livestock types and classes are eligible to be valued under the herd scheme. There is free movement to the scheme and animals can be valued under a different scheme (an alternative valuation option — AVO) subject to meeting the following 3 requirements:

- # first, the numbers for any class cannot be reduced below the lesser of the number valued in the herd scheme in the previous year or the number on hand
- # secondly, where the herd scheme is being used in conjunction with one of the cost options, all breeding sires of that type must be valued under the herd scheme, and
- # thirdly, animals of a class which have been valued under the herd scheme cannot be switched to another valuation option.

For example, if 200 mixed-age cows are valued under the herd scheme in the 2024–25 income year, at least 200 must be valued under the herd scheme in 2025–26. However, any number in excess of 200 may be valued under the herd scheme in 2025–26.

More than one alternative valuation option can be used for each livestock type, but only one alternative valuation method can be used for each inventory grouping within that type.

Example:

	Opening herd number	Total closing stock	Minimum closing herd number	Maximum eligible for AVO
		(1)	(2)	(1)–(2)
Rising one-year heifers	100	120	100	20
Rising 2-year heifers	140	150	140	10
Cows	180	150	150	0
Breeding bulls	3	4	4	0

Notes:

- # There was a decrease in mixed-age cows below last year's herd numbers and this resulted in the minimum herd number being set at the number on hand.
- # There was an increase in breeding bulls, but all breeding sires must be valued on the herd scheme (unless high-priced) when some animals (of the type) are valued under national standard cost or self-assessed cost.

Example reproduced from CCH, *Tax Guide to Farming, Forestry and Fishing*, para 5.4.9.2.

Where the closing number of a livestock class is lower than the previous year's closing number, a new base number is set at the number on hand for that year. Any subsequent recoveries of those stock numbers can be valued under an alternative option.

Alternative valuation options for herd number increases above the minimum number are:

- # national standard cost
- # self-assessed cost
- # market value, and
- # replacement price.

Herd value ratios

Persons may use herd value ratios that are a percentage of the NAMV. This gives farmers an opportunity to adopt self-assessed values, to some extent, to take account of variations of individual livestock values for reasons such as location, stock quality or farming policies. The values that may be adopted are 90%, 100%, 110%, 120% or 130% of NAMV (these equate to herd value ratios of 0.9, 1.0, 1.1, 1.2 and 1.3). A different herd value ratio may be adopted for each livestock type. This allows, for instance, a farmer with high-value stock to write them up to 130%. A farmer with low-value stock may remove the unrealisable income component in their values by writing them down to 90% of NAMV.

In order to adopt a herd value ratio that is a variation from 100% of NAMV, a formal valuation of the stock is required. The valuation must be obtained from a “recognised livestock valuer” (s [EC 17\(4\)](#)). The Commissioner may, at any time, require a person to recalculate a herd value ratio if an inaccurate ratio has been used.

A person must apply to the Commissioner to adopt a herd value ratio or a recalculated herd value ratio. The notice must be a 2-year notice. For instance, if a person wishes to apply a differential herd value ratio for the 2025–26 income year, the person would have to obtain a valuation as at 30 April 2024, and give notice with the tax return for the 2023–24 income year.

An exception to the 2-year notice requirement exists if it is the first year the livestock is valued under the herd scheme. In that case the notice must be given by the date of filing the tax return for that income year. The information to be included in the notice is set out in s [EC 11\(4\)](#).

Operational Statement [OS 25/02](#) discusses herd value ratios in detail at [45] onwards.

Chatham Islands

The herd value ratios ranging from 0.9 to 1.3 cannot be used for livestock on the Chatham Islands. Instead, the Commissioner will set a Chatham Islands herd value ratio (known as the Chatham Islands adjustment) from time to time for each type of specified livestock. An election to use that ratio is made in accordance with s [EC 11](#).

The Chatham Islands ratio for sheep and beef cattle is 0.3 of the NAMV. This means that Chatham Islands farmers may elect to value their sheep and beef cattle at 30% of the national average market values (herd values). IR reviews this ratio annually and will amend it if it becomes significantly out of line (*Tax Information Bulletin* [¶52-146 Vol 5, No 2](#), August 1993, Appendix and [OS 25/02](#) at [52] and [53]).

Associated party transfers

Previously, some farmers were using associated party transactions to enable an exit from the herd scheme so they could achieve tax-free increases in livestock values under the herd scheme and then tax-deductible decreases in values under a cost-based regime. Rules now ensure that for transfers of herd scheme livestock between associated parties, the purchaser steps into the position of the vendor for the herd scheme election, herd scheme base numbers and herd scheme values. The rules only apply where the transfer is not in the ordinary course of business. IR has stated that given the various potential scenarios this has deliberately been left up to the parties' judgment and that common sense should apply *Tax Information Bulletin* [¶259-103 Vol 25, No 9](#), October 2013 at 5.

Where the rule in s [EC 4B](#) applies, the transferee is treated as having made a herd scheme election. IR has provided the following explanation and example of the application of the section:

Example:

The steps involved are as follows:

Step 1: The vendor calculates hypothetical year-end numbers for a class as if the associated persons sale had not taken place.

Step 2: These are then compared with the vendor's opening herd scheme tallies for that class.

Step 3: The lowest of these numbers (being the minimum that the vendor could value in the herd scheme in the year of transfer if the transfer had not occurred) becomes the “hypothetical year-end herd scheme amount”.

Step 4: From this is subtracted the actual year-end numbers of the class that the vendor has on hand.

Step 5: The balance is then the number of livestock of that class that the associated person acquirer must value in the herd scheme.

Note that the calculations focus on the class that the livestock would be (or would have been) at year-end, not as at the date of the transfer.

Step	R2 Heifers	Example A	Example B
1	On hand at year-end	80	80
1	Associated party transfer	25	15
1	Hypothetical year-end numbers	105	95
2	Opening herd scheme	100	100
3	Lesser of	100	95
4	Actual on hand	80	80
5	Therefore acquirer herd scheme	20	15

See *Tax Information Bulletin* [1259-103 Vol 25, No 9](#), October 2013 at 5.

The number obtained from the above calculation increases the acquirer's minimum herd scheme numbers for that class and that year.

Section [EC 4C](#) provides that for income tax purposes the transfer of livestock that the transferee is required to value in the herd scheme is deemed to take place at herd scheme values that apply at the end of the year of the transfer, presuming that both parties are in the same tax year when the transfer takes place. If this is not the case, it depends on which of the parties is in a later tax year, but the objective is to ensure that there is one herd scheme adjustment to opening herd scheme livestock valuations for each tax year.

If the transferee acquires the livestock in a tax year earlier than the tax year in which the transferor disposes of it, the transfer is treated as a disposal and acquisition at the value of the relevant livestock under the herd scheme at the beginning of the transferor's corresponding income year. If the transferee acquires the livestock in a tax year later than the tax year in which the transferor disposes of it, then the transfer is treated as a disposal and acquisition at the value of the relevant livestock under the herd scheme at the end of the transferor's corresponding income year. For the purposes of determining the transferee's opening value under [s EC 16](#), the transferee is treated as owning and valuing the relevant livestock under the herd scheme at the end of the previous year.

Exception

An exception from the rule applies where there is an inter-generational transfer [s EC 4B\(2\)](#). For the exception to apply, the transferee must only be associated because the transferee or an associate is the son, daughter or grandchild of the transferor or an associate. In addition, the transfer must be at market value, wholly on arm's length commercial terms and conditions (ignoring finance conditions), and the transferor or associate must dispose of all their specified livestock and cease deriving income from the disposal of specified livestock as part of a farming business for the next 4 income years. The transferor can therefore continue grazing a few animals on a lifestyle block, for example, or farm non-specified livestock, without affecting the exception.

Section [EC 4B\(3\)](#) provides that the associated persons exception applies to a deceased estate if the exception would have applied to the transfer made to or from the estate or under the will if that transfer had been made immediately before death. However, the exception will not apply if the will creates a life interest in the relevant livestock.

Relationship agreement transfers

The associated person rules in ss [EC 4B](#) and [EC 4C](#) also apply where specified livestock that is valued under the herd scheme is transferred under a relationship agreement. (The term “relationship agreement” extends to agreements between de facto and civil union partners in circumstances where the Property (Relationships) Act 1976 applies.)

Ceasing livestock farming

Special rules apply where a person ceases farming. Section [EC 20](#) provides that where a person stops deriving income from specified livestock and the livestock is disposed of before 1 November that precedes the release of the NAMV, it is compulsory to value the herd livestock using the NAMV and herd value ratios for the previous year. Although note that this will not apply where the disposal falls within the associated person rules discussed above.

Law: IT07 ss [EC 4B](#), [EC 4C](#), [EC 8](#), [EC 14](#)–[EC 20](#), [FB 15](#)

Last reviewed on 31 December 2025

Market value and replacement price valuation [¶27-266]

[¶27-266]

[Click to open document in a browser](#)

The general rule allows free movement between cost, market value or replacement price in any year. It would appear that replacement price is probably the same as market value for livestock valuation purposes. The legislation does not define how market values are to be determined, or by whom. However, historically, IR has indicated that market value would be the value that the livestock would be worth on the open market if they were available for sale in the normal course of business to an arm's-length party at balance date. With regard to replacement price, IR has indicated that the meaning of replacement price in s [EB 10](#) would be applied. Thus, replacement price would be the market value of the livestock on the last day of the income year or, if there is no such market value, the last price paid during the income year to acquire equivalent livestock. Input tax on any purchase of replacement livestock is disregarded.

It may be prudent to obtain a desk valuation from a recognised livestock agent to support any use of the market value option.

Law: IT07 ss [EC 10](#), [EC 25](#)

Last reviewed on 31 December 2025

National standard cost scheme [¶27-267]

[¶27-267]

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The national standard cost scheme is an optional scheme, the main features of which are as follows:

- # The scheme is based on national average costs of production.
- # Rising one-year homebred stock are valued using national average costs for breeding, rearing and growing costs.
- # A national average rearing and growing cost is added to homebred rising 2-year stock.
- # Except for rising 3-year male non-breeding stock, no rearing and growing costs will be added beyond homebred rising 2-year stock so that costs are accumulated to maturity (generally rising 2-year stage) and are held at that level within an inventory system until the stock is disposed of (ie the cost for an animal will remain constant for its mature life).
- # An inventory system is required for mature mixed-aged classes to calculate the closing inventory value under national standard cost. The minimum standard of inventory system is the average cost inventory system. Alternative inventory systems are specific identification and first-in first-out.
- # All livestock acquired other than by way of being homebred are taken into account at acquisition cost.
- # The average of homebred costs and acquisition costs is applied to stock on hand at the year's end to derive a closing value.
- # Free movement between national standard cost, market value or replacement price on an inventory grouping basis is allowed, but a 2-year notice period is required for movement from or to the self-assessed cost option.
- # National standard cost can be used in conjunction with the herd scheme. But, where a person values some livestock of any type under the herd scheme, all breeding sires of that livestock type must be valued under the herd scheme.
- # All animals qualifying as high-priced livestock must be valued under that scheme.
- # Persons who bail or lease livestock are eligible to use the national standard cost scheme for bailed livestock only where the person expects, at the time of delivery of the livestock to the bailee or lessee, to have the same livestock redelivered or where the bailment or lease was made pursuant to a profit-sharing arrangement as defined in s [YA 1](#). If redelivery will occur, the normal rules apply as if the bailed livestock were livestock on hand. See ss [EC 9](#) and [EC 27](#), and cl 18 of the Income Tax (National Standard Costs for Livestock) Determination 1994.

National standard cost values

The Commissioner makes a determination for each category of specified livestock listed in column 2 of Sch [18](#).

The national standard costs for the 2024–25 income year were set in the National standard costs for specified livestock determination 2025 ([NSC 2025](#)). The table in the determination is reproduced below.

<i>Kind of Livestock</i>	<i>Category of Livestock</i>	<i>National Standard Cost</i>
		\$
Sheep	Rising 1 year	43.30
	Rising 2 year	30.50
Dairy Cattle	Purchased bobby calves	228.60
	Rising 1 year	709.60
	Rising 2 year	489.00

Beef Cattle	Rising 1 year	455.90
	Rising 2 year	258.10
	Rising 3 year male non-breeding cattle (all breeds)	258.10
Deer	Rising 1 year	119.80
	Rising 2 year	59.90
Goats (Meat and Fibre)	Rising 1 year	35.80
	Rising 2 year	24.50
Goats (Dairy)	Rising 1 year	256.70
	Rising 2 year	42.50
Pigs	Weaners to 10 weeks of age	126.20
	Growing pigs 10 to 17 weeks of age	102.50

The national standard cost scheme is based on national average costs of production. Farmers who use the scheme apply the standard costs of stock bred on the farm or on hand at the beginning of the income year. Stock they acquire are valued at the acquisition cost. The average of these costs is applied to stock on hand at the end of the year to derive the closing value of livestock on hand. The difference between the opening and closing values is used to determine income.

Determination

The method of valuing livestock by averaging homebred costs and acquisition costs to arrive at an average cost, to be applied to all specified livestock of a person that is valued under the national standard cost scheme, is set out in determinations issued by the Commissioner (s [EC 24](#)). The matters to be provided in the determination are set out in s [91AAD](#) of the Tax Administration Act 1994 (TAA). The Commissioner is required to publish any determination on the national standard cost method in a publication chosen by the Commissioner within 30 days of the date on which it was made and signed by the Commissioner. A replacement determination does not apply to an income year of a person that ended on or before the day 30 days before the day on which that new determination is published (s [91AAE](#)).

The determination procedure currently applicable is the [Income Tax \(National Standard Costs for Livestock\) Determination 1994](#).

Note that the Income Tax (National Standard Costs for Livestock Determination) 2016 varied the 1994 Determination by replacing the following words, wherever they appear in the determination: “purchased” to “acquired”, “purchase” to “acquisition”, and “sales” to “disposals”. The changes were made as part of wider wording changes made by the Taxation (Annual Rates for 2015–16, Research and Development, and Remedial Matters) Act 2016. However, the Commissioner has emphasised that to come within the words used the transaction must be made for “consideration”, whether in money or some other form. For the avoidance of doubt, the Commissioner has confirmed that the words used do not include the acquisition of homebred livestock or livestock that has been gifted inter-generationally or donated. In addition, the words used do not include the disposal of livestock that dies or is culled and is disposed of on-farm or to still-born livestock (“slinks”). Although slinks are generally sold for monetary consideration, it is the Commissioner’s view that being still-born, slinks are not livestock and therefore not subject to any of the national standard costs for livestock determinations. Note however that amounts received for slinks should continue to be treated as part of the ordinary business income of a farmer.

Law: IT07 ss [EC 9](#), [EC 22–EC 24](#), [Sch 18](#); TAA ss [91AAD](#), [91AAE](#)

Last reviewed on 31 December 2025

Self-assessed cost scheme [¶27-268]

[¶27-268]

[Click to open document in a browser](#)

Self-assessed cost is the alternative cost option to national standard cost. It may be adopted by farmers who wish to use their own farm's actual costs of production instead of the nationally announced national standard costs. The same rules regulating the national standard cost scheme apply to self-assessed cost.

There are no legislative rules regulating the use of the self-assessed cost option. Instead, the Commissioner has issued guidelines and forms for the application of the self-assessed cost method (*Tax Information Bulletin* [¶47-135 Vol 4, No 7](#), March 1993, Appendix A).

Law: IT07 s [EC 25\(1\)](#)

Last reviewed on 31 December 2025

Bailed or leased livestock [¶27-272]

[¶27-272]

[Click to open document in a browser](#)

A bailment of livestock exists in any circumstances where the livestock is not in the owner's care. The following are examples of bailments: livestock out for grazing; livestock subject to an agreement where the bailee (the receiver of the livestock) pays the bailor (the owner) for use of that livestock; any lease arrangement; most share-farming (but not sharemilking) arrangements; and livestock kept overnight at the vet (*Tax Education Office Newsletter* No 73, 10 August 1993 at 10 and *1996 Primary Sector Tax Course*, New Zealand Society of Accountants, August 1996 at 53).

Rules and limitations of valuation options for owners of bailed livestock

Bailed livestock may not be valued according to self-assessed cost except where the following conditions are met:

- # the person expected, at the time of delivery of livestock, the bailee to receive the same livestock back
- # the bailee does not pay consideration to have the livestock
- # the livestock is only away from the bailor over one balance date, and
- # if the bailment is between associated persons, the rent paid by the bailor to the bailee is at fair market value (*Tax Education Office Newsletter* No 73, 10 August 1993 at 10).

The provisions of s [EC 26](#) apply where a person has entered into a bailment, lease or other agreement for the use of specified livestock, including high-priced livestock, and the person is required to return the specified livestock or to pay full compensation for the specified livestock. Where that is the case, 2 consequences follow. First, the person is treated as owning the specified livestock. Secondly, in relation to each class of specified livestock, the person is to take into account, as trading stock at the end of each income year, the number of specified livestock calculated according to a formula. See s [EC 26\(2\)](#).

National standard cost or self-assessed cost may be used by owners of bailed or leased livestock where the owner expects, at the time of delivery of the livestock to the bailee or lessee, to have the same livestock redelivered to the owner or where the bailment or lease is made pursuant to a profit-sharing arrangement as defined in s [YA 1](#) (for a discussion of this definition, see [¶23-189](#)) (ss [EC 9](#), [EC 10](#) and [EC 27](#)).

Law: IT07 ss [EC 9\(3\)](#), [\(4\)](#), [EC 10\(3\)–\(5\)](#), [EC 26](#), [EC 27](#), [EC 37](#)

Last reviewed on 31 December 2025

Non-specified livestock [¶27-280]

[¶27-280]

[Click to open document in a browser](#)

Non-specified livestock is defined in s [YA 1](#) as livestock that is not specified livestock, high-priced livestock, or bloodstock. Non-specified livestock includes horses, rabbits, dogs and ostriches. A separate valuation scheme applies to horses that can be classified as bloodstock ([¶27-300](#)).

Valuation options

At the end of each income year, non-specified livestock may be valued on the basis of its:

- # cost price
- # market value
- # replacement price, or
- # if the Commissioner agrees, standard value.

The person may choose between each of these alternatives. The Commissioner will, from time to time, determine standard values for any type or category of non-specified livestock (ss [EC 29](#) and [EC 30](#)). The Commissioner has not determined any standard values under these provisions to date.

Progressive write-down to standard value

Where a person elects to value non-specified livestock at standard value in some circumstances, the amount by which the cost of livestock exceeds the standard value for that non-specified livestock may be required to be deducted over 3 income years. The progressive write-down applies to a taxpayer who acquires additional livestock, not being replacement livestock or, from 1 April 2015, homebred livestock, during an income year or any of the following 3 income years because the person enhances production in an income year by:

- # starting or restarting to derive income from non-specified livestock
- # bringing land into production, or substantially increased production, for the purpose of deriving income from non-specified livestock, or
- # acquiring additional land for the purpose of deriving income from non-specified livestock.

If the above criteria are met, the closing value of livestock acquired is:

- # for the income year of acquisition, the standard value plus two-thirds of the difference between the cost price and the standard value
- # for the following income year, the standard value plus one-third of the difference between the cost price and the standard value, and
- # for the other income years, the standard value.

Relationship agreement transfers

Special rules apply to transfers under relationship agreements. (The term “relationship agreement” extends to agreements between de facto and civil union partners in circumstances where the Property (Relationships) Act 1976 applies.) These rules are set out in s [FB 16](#). If land is acquired under a relationship agreement, the transferee is deemed to have acquired it on the day on which the land was acquired by the transferor. Where any non-specified livestock is transferred in accordance with a relationship agreement, and the person commences or recommences to derive income from the non-specified livestock in that year, the person is deemed not to have commenced or recommenced to derive income from non-specified livestock by virtue of that transfer. However, the transfer is taken into account when determining whether any later acquisition of non-specified livestock by the transferee means they have commenced or recommenced deriving income from non-specified livestock.

If the transferee uses the non-specified livestock transferred under a relationship agreement to derive income and was not previously deriving income from non-specified livestock, then if the year of transfer falls in the first or second year of the 3-year write-down period, the transferee must apply the appropriate written-down amount (as set out above) as if they were the transferor and the transfer had not taken place. That is, the transferee is effectively treated as the transferor as far as determining the closing value of the livestock.

Valuation of ostriches and emus

Interpretation Statement [IS9702](#) outlines the various valuation options available to persons who farm ostriches and/or emus. IR acknowledges that ostriches and emus fall into the category of non-specified livestock. Consequently, options for valuation will be those of cost price, market price, replacement price or standard value. The Commissioner's interpretation statement focuses on the cost price valuation option for ostriches and emus on hand at the end of an income year. However, it is also noted that the self-assessed cost price valuation is a guideline only, and that persons may adopt any other method that leads to an appropriate allocation of cost.

In *Tax Education Office Newsletter* No 142, 15 December 1997 at 1, it is noted that if cost is being adopted to value these birds, appropriate regard should be given to agistment, freight and quarantine costs.

Law: IT07 ss [EC 28](#)–[EC 31](#), [FB 16](#), [YA 1](#) (“non-specified livestock”)

Last reviewed on 31 December 2025

High-priced livestock [¶27-290]

[¶27-290]

[Click to open document in a browser](#)

Any sheep, beef cattle, dairy cattle, deer, goat or pig purchased in the income year must be valued under the high-priced livestock provisions if:

- # it cost \$500 or more
- # at the time of purchase, it was capable of being used for breeding, or expected to be capable of being used for breeding on maturity, and
- # the purchase price was not less than 5 times the greater of the national average market value for the relevant class for the income year of purchase or the preceding income year.

The high-priced livestock scheme is a depreciation type of scheme. Under the scheme, the cost of high-priced stock is written down over the usual breeding life at rates defined for each type of stock. The scheme applies only to stock purchased. Stock that are bred are therefore excluded. A person may choose to use either the straight-line method or the diminishing value method to value high-priced livestock. Persons wishing to apply the diminishing value rate to an animal must use the diminishing value rate in the financial statements that support the tax return. Once a person makes this election, it is irrevocable. If there is no such clear use of the diminishing value rate, the straight-line rate will apply (s [EC 32](#)).

Depreciation percentage

The Commissioner fixes the depreciation percentage (s [EC 33](#)). This percentage is to represent the average percentage decline in the value of livestock of that type or class or category, having regard to:

- # the average cost of that type or class or category of livestock
- # the estimated useful life of the livestock, and
- # the estimated average residual market value of the livestock.

Livestock category	Straight-line rate	Diminishing value rate
Sheep	25%	33%
Cattle	20%	26%
Stags	20%	26%
Other deer	15%	22%
Goats	20%	26%
Pigs	33%	40%

Table reproduced from *Tax Information Bulletin* [¶52-149 Vol 5, No 2](#), August 1993, Appendix A at 23.

Immature or recently purchased livestock

No depreciation may be claimed in the year of purchase of livestock where any high-priced livestock:

- # is not more than one year of age at the end of the year of purchase, or
- # is purchased within 6 months of the end of an income year, and within that period:
- # has not been used for insemination or collection of semen, if male livestock, or
- # has not given birth or had ova removed, if female livestock.

This type of livestock must be valued at cost price at the end of that income year (s [EC 36](#)).

Transfer to other valuation methods

High-priced livestock must be transferred to another scheme where:

- # the value of any high-priced livestock at the end of an income year is equal to or less than the national average market value for that class, or
- # the livestock is no longer expected to be used for breeding purposes for that or any later income year, and the person has no intention of selling the livestock to another person to be used for breeding purposes.

The livestock will then be valued under the valuation method the person uses to value their specified livestock of that type.

Relationship agreement transfer

Where high-priced livestock is transferred pursuant to a relationship agreement, the transferee is treated as having acquired the livestock on the day it was acquired by the transferor, and at the price it was acquired by the transferor. The closing value of the stock for the income year of the transfer is the transfer value (determined in accordance with s [EC 34](#)), being the book value, reduced by an amount equal to the depreciation percentage of its cost price. In other words, the transferee completes the balance of the write-down that the transferor would have adopted if the stock had not been transferred. The transferee is deemed to adopt the diminishing value method if the transferor has elected to adopt that method or, in the absence of such an election, if the transfer occurs in the same year as the high-priced livestock was acquired by the transferor, the transferor can elect the diminishing value method.

Law: IT07 ss [EC 32](#)–[EC 36](#), [FB 17](#), [YA 1](#) (“[high-priced livestock](#)”)

Last reviewed on 31 December 2025

Movement between schemes for specified livestock [¶27-295]

[¶27-295]

[Click to open document in a browser](#)

Subject to the specific rules for each livestock valuation method, a person may elect which of those methods will be used in any income year to value any specified livestock (excluding livestock used in dealing operations). For all options except the herd scheme, the election is made by adopting the method in the person's tax return for the income year. For use of the herd scheme, the Commissioner must be notified: see further below under the heading "Notice of election". Once an election is made and the chosen method is applied in respect of an income year, the election will continue to apply in all subsequent income years until it is superseded by another valid election.

Restrictions

A livestock valuation election cannot be made (or, if made, will be ineffective) if the effect of the election is to allow the person to do any of the following:

- # value any specified livestock under the national standard cost scheme ([¶27-267](#)) and the cost price method ([¶27-268](#)) in the same income year
- # value specified livestock under the national standard cost scheme when in the last income year the person used the cost price method and the required 2-year written notice (see further below under the heading "Notice of election") to change to the national standard cost scheme was not given
- # value specified livestock under the cost price method when in the last income year the person used the national standard cost scheme and the required 2-year notice (see further below under the heading "Notice of election") to change to the cost price method was not given
- # breach any determination made by the Commissioner under the national standard cost scheme by valuing livestock of the same type, class or other category under both the national standard cost scheme and any other valuation method
- # reduce from one income year to the next the number of livestock of a particular class valued under the herd scheme ([¶27-264](#)), unless the person has made a valid election for the next income year to value under the herd scheme all livestock of the type to which that class belongs
- # value any male breeding livestock using a method other than the herd scheme where in the income year the person values any animals of that type under the herd scheme and values other animals of that type under the national standard cost scheme or the cost price option ([¶27-264](#))
- # value any livestock using a method other than the herd scheme where the herd scheme has been chosen for that particular livestock ([¶27-264](#))
- # value any bailed or leased livestock other than in accordance with specific rules ([¶27-272](#)), or
- # contravene any other specific rule or requirement of any specified livestock valuation method.

Notice of election

Some elections require a notice to be given to the Commissioner. The type of elections and notice period are set out in s [EC 11](#).

Same year

Where notice must be given in the "same year", notice of the election must be given to the Commissioner by the date on which the person furnishes the return of income for the income year in which the election is first to apply. For example, to move from the national standard cost scheme to the herd scheme in the 2025–26 income year, a written notice of election must be filed with the Commissioner by the date on which the 2025–26 tax return is filed.

The following elections must be given in the same year:

- # an election to value livestock of a particular type under the herd scheme
- # an election to adopt a herd value ratio for livestock of any type when it is the first income year in which the particular livestock is valued under the herd scheme, and
- # an election to change the valuation method from the herd scheme when a type of specified livestock ceases to be used for a breeding business but is instead used in a fattening business.

Two years

For the elections that must give at least 2 years notice, notice of the election must be given to the Commissioner by the date on which the person furnishes the return of income for the income year that is at least 2 income years before the income year in which the election is first to apply. For example, to move from the cost price method to the national standard cost scheme in the 2025–26 income year, a notice of election must be given to the Commissioner by the date on which the 2023–24 tax return is filed.

The following elections must give at least 2 years' notice:

- # an election to stop valuing specified livestock of a particular type under the herd scheme, except when some livestock of that type continues to be valued under the herd scheme or when another valuation method is available
- # an election, after the herd scheme has been adopted, to adopt a herd value ratio or recalculated herd value ratio
- # an election to change from the cost price method to the national standard cost scheme, and
- # an election to change from the national standard cost scheme to the cost price method.

Content of election notice

A notice of election must state:

- # the income year in which the election is to first apply
- # the type, class, or other description of the applicable livestock
- # the existing and the proposed valuation methods for the applicable livestock, and
- # if the election is to use a herd value ratio or a recalculated herd value ratio ([¶127-264](#)):
 - # the assessed value of an average animal for each applicable class of livestock
 - # the date on which the valuation of each animal was made, and
 - # the name and address of the valuer.

Notification may be in writing or via MyIR. Once the Commissioner has been notified of an election, the election is irrevocable in relation to its first year of application.

Electing a valuation method is discussed in [OS 25/02](#) at [8]–[18].

Invalid election

If a valuation election is ineffective because it is not within the restrictions (see above under heading “Restrictions”) and the person has not made a valid subsequent election in respect of that livestock and that income year, the valuation method to be applied shall, after consulting with the person, be determined by the Commissioner.

Law: IT07 ss [EC 7–EC 11](#)

Last reviewed on 31 December 2025

Background to bloodstock [¶27-300]

[¶27-300]

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For tax purposes, “bloodstock” is defined to mean any horse that is a member of the standardbred or thoroughbred breed of horses. The definition encompasses a share or an interest in any such horse. A horse that does not come within this definition is dealt with under the rules that relate to the valuation of non-specified livestock for tax purposes ([¶27-280](#)).

Law: IT07 s [YA 1](#) (“[bloodstock](#)”)

Last reviewed on 31 December 2025

General principles of taxation of horse breeders [¶27-305]

[¶27-305]

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There are 2 basic principles affecting the taxation of horse breeders. First, racing stakes or prize money are tax exempt, and there is no deduction for the costs of racing bloodstock, any associated racing expenditure or costs of preparing for racing.

The only exceptions to the non-deductibility of costs incurred in relation to racing activities are for the race preparation costs of professional bloodstock breeders who do not race that bloodstock, and persons who incur such expenditure in exchange for income.

A deduction of depreciation on a racehorse may be allowed where the animal is used in the production of a person's income.

Example:

The purchase and racing of a horse by a construction company was for the purpose of promoting and advertising its business; any private enjoyment was incidental to that objective. The nexus between expenditure on the horse and the income-earning process could be attributed to the close liaison between the taxpayer and the racing industry in and about its home town. See Case M131 (1990) 12 NZTC 2,850.

The second basic principle is that breeding activities carried on as a hobby do not come within the scope of the IT07. It is only where the activities are carried on as a business that the associated expenses will be deductible and the proceeds of sale from progeny will be income.

Example:

The taxpayer claimed that he was carrying on a hobby and that his activity was the racing of horses and breeding for that purpose. It was held that the profit received from the sale of 2 racehorses was assessable income. The horses were sold as part of the taxpayer's business which included racing horses and breeding horses for sale. The court noted that a special tax regime applied to horse racing as distinct from the business of horse or stud-horse breeding. The business and intention of the taxpayer went beyond simply racing or breeding horses for racing. See *Edgecombe v C of IR* (1991) 13 NZTC 8,140.

Changes from 1 January 2019

With effect from 1 January 2019, changes were made to the bloodstock tax rules.

The main change is that new investors are entitled to claim tax deductions and be taxable on receipts as though they had a bloodstock breeding business, if they:

- # purchase, from a New Zealand premier yearling sale, an interest in a yearling that has the qualities to be a future stud-founding horse
- # notify the Commissioner of IR of their intention to breed from the yearling for profit in the future and provide the owners' details, and
- # provide evidence as required by the Commissioner to support their stated intention, including a business plan.

The provisions set out the method for setting bright-line price thresholds for thoroughbred and standardbred yearlings to distinguish standout yearlings from other yearlings. The minimum price threshold for purchases from the Karaka or Christchurch 2026 sales were set at:

- # \$135,000 for standardbred yearling fillies
- # \$165,000 for standardbred yearling colts
- # \$375,000 for thoroughbred yearling fillies, and
- # \$391,000 for thoroughbred yearling colts.

If a horse is sold to overseas investors or exported without first racing or breeding in New Zealand, the greater of all previous deductions or its market value will be treated as income to the seller/exporter. This

rule incentivises investors to undertake some racing activity in New Zealand before a standout horse is sold abroad or exported.

Law: IT07 ss [CG 8B](#), [CG 8C](#), [CW 60](#), [DW 2](#), [EC 39\(2\)](#), [EC 39B](#), [EC 39C](#), [EC 47B–EC 47E](#), [EZ 6B](#)

Last reviewed on 31 December 2025

Bloodstock used for racing [¶27-310]

[¶27-310]

[Click to open document in a browser](#)

Treatment in the accounts

There are 2 situations to consider.

Bloodstock unable to be used for breeding purposes at any future time

In this event, the horse is deemed to be raced privately and not as part of the stud business. However, where the person gives the Commissioner notice that any horse used for racing is being used in the course of the conduct of a bloodstock breeding business, the horse will be treated as being raced for the business of breeding. The notice must be given within one month of the date on which the horse is first prepared for racing or is actually raced, whichever is the earlier. There is no discretion to accept a later notice.

Bloodstock suitable for future breeding

In this case, where the person is engaged in the business of breeding bloodstock for sale, the horse is deemed to have been raced as part of the stud business. The person is entitled to give the Commissioner notice stating that the horse is being raced for private purposes and not as part of the stud business. In that case, the horse is treated as being raced otherwise than as part of the stud's business activities. Notice must be given within one month of the day on which the horse is first prepared for racing or the day on which it is first raced, whichever is the earlier. There is no discretion to accept a later notice.

These rules apply to all horses raced by the stud.

Example:

If the stud purchases a filly for racing with no intention of ever using it as part of the stud business, the horse will be deemed to be raced as part of the stud business unless the breeder gives the appropriate notice that the horse is being raced as a hobby.

Free stallion service

The practice has developed in the racing industry for the winner of certain classic races to become entitled to make use of a free service from a particular stallion. Generally, the owner of the winning filly may choose between having one of the owner's own broodmares served or selling the free service, although these choices are often made subject to the stud owner's consent, because the stud owner may be concerned to know the quality of the broodmare's bloodline. The treatment for tax purposes is as follows:

- # the owner of the winning filly should debit the stud account and credit the racing account with the notional value of the free service when a live foal is born
- # if the owner of the winning filly sells the free service, the proceeds of sale should be treated as part of the stake winnings, and
- # the owner of the stallion is not required to make any accounting entries.

Disposal at market value

Where a stud ceases to use a horse for the purposes of the stud business, the horse is treated as having been disposed of on the day on which the horse was first used for that other purpose. The disposal price is the market value of the horse on that day.

Where a horse that is not intended for the stud business is used for that purpose, the horse is treated as having been acquired by the stud at its market value on the day on which the horse is first used for the stud business.

Racing to increase breeding value

QWBA [QB 22/07](#): “Income Tax and Goods and Services Tax — Treatment of bloodstock breeding” sets out the Commissioner’s view on the application of the bloodstock provisions when a person purchases a horse with intention to breed with it, but first races the horse to increase its breeding value.

Income tax treatment

[QB 22/07](#) considers the following issues:

- # whether s [EC 39](#) allows a write-down in the year of purchase
- # whether, if the person is a partnership, partners carrying on another bloodstock breeding business may apply the write-down in s [EC 39](#), and
- # how to treat the sale of breeding stock when the person is carrying on a bloodstock breeding business.

The Commissioner is of the view that if a person purchases their first horse with a view to racing it before breeding, that person is not yet in the business of breeding and therefore is not entitled to a write-down under s [EC 39](#).

If the person is in a partnership, the partners that are carrying on the business of breeding bloodstock with other horses separate from the partnership will be entitled to write down for their share in the newly acquired horse where:

- # their share of the horse was bought with the intention of breeding that horse in their separate business, or
- # at the point when the horse is being used for racing.

If a person is carrying on a bloodstock breeding business and sells bloodstock (before or after they have used the horse for breeding), the proceeds of sale are income to them and there will be no year-end add back for any carrying value for the bloodstock sold. The effect of this is that the person is allowed a deduction for the residual value of the bloodstock (cost price less any previously claimed write-down).

GST treatment

QWBA [QB 22/07](#) also addresses the GST position. It states that a person is likely to be carrying on a taxable activity for GST purposes when:

- # a top pedigree thoroughbred horse is chosen and costs more than \$200,000.
- # the person engages an experienced manager to carry out actions needed to implement the breeding plan once the person reaches the phase of breeding from the horse.
- # the person engages an experienced trainer with a track record of training successful racehorses.
- # the person implements (and follows) a detailed plan setting out the purchase of the horse, care, training, racing, and breeding, detailing the estimated timeframes and cost for each stage.

Therefore, the view expressed in [QB 22/07](#) is that the person is entitled to an input tax deduction for costs incurred in that taxable activity, like the purchase of the horse and the ongoing costs associated with it. As a result, GST must be returned on sale of the bloodstock and any race winnings made from racing the horse.

Law: IT07 ss [EC 46](#), [EC 47](#)

Last reviewed on 31 December 2025

Replacement bloodstock [¶27-315]

[¶27-315]

[Click to open document in a browser](#)

Receipts from the disposal of breeding bloodstock or from insurance payments for the loss, death, or permanent injury of such bloodstock are income. Bloodstock breeders can offset the cost of replacement breeding stock against any income derived from the following sources:

- # disposal of breeding stock, or
- # payments of insurance, indemnity or compensation for the loss or death of, or permanent injury to, any breeding stock.

The amount offset is not income and reduces the cost base of the replacement animal.

To offset the cost of replacement animals against any income, bloodstock breeders must apply to the Commissioner within 6 months after the end of the income year in which the breeding stock was disposed of, or within such further period as the Commissioner considers reasonable. The replacement animal must be acquired before an application is made.

Where a bloodstock breeder receives insurance proceeds or other indemnity payments, the Commissioner has a discretion to extend the 6-month period. Before this discretion may be exercised, the Commissioner must be satisfied on the following 2 points:

- # there are valid commercial reasons for the delay in replacing the breeding stock, and
- # the replacement animal was acquired within 2 income years following the end of the income year in which the loss, death or permanent injury occurred.

In these circumstances, the application must also be made within the 2 years following the end of the income year in which the loss, death or permanent injury occurred, or within such further time as the Commissioner allows (*Tax Information Bulletin* [¶512-107 Vol 5, No 12](#), May 1994 at 5).

Law: IT07 s [EC 48](#)

Last reviewed on 31 December 2025

Valuation of bloodstock [¶27-320]

[¶27-320]

[Click to open document in a browser](#)

Special rules apply to the valuation of bloodstock for income tax purposes. In broad terms, the cost of stallions and broodmares is written down to \$1 by applying a “specified write-down” formula.

Bloodstock can be written down if it is at least 2 years of age at the end of the income year. The bloodstock need not have been used for mating but merely purchased or owned with an intention of being used for such a purpose where the owner is in the business of breeding bloodstock (*Drummond v C of IR* (2013) 26 NZTC ¶21-023). The write-down is based on cost price but in some circumstances market value may be used if the value of the horse is reduced substantially, ie as a result of accident, birth deformity or infertility.

[QB 21/09](#): “How to determine the cost price of bloodstock” outlines how to determine the cost price of bloodstock and is relevant to a person who has a bloodstock breeding business.

When valuing bloodstock for tax purposes, the general principle is that actual cost should be used as the basis of valuation. Where the actual cost is not known with certainty, for example home-bred progeny, a consistent means of establishing the cost price of that foal is still required.

The general rule is that is initially valued at cost price. This is the actual cost incurred in acquiring the animal (including transportation), or in the case of home-bred bloodstock cost price is the expenditure incurred by the breeder in producing the progeny.

At the end of each income year bloodstock must be valued at its cost price less any reduction applying for that year.

Determination of cost price differs for each type of bloodstock.

Purchased bloodstock

Bloodstock that is purchased, either privately or at horse sales, should be valued at its acquisition cost plus the cost of getting the horse to its new location. This value may include items such as the acquisition cost, veterinarian fees, valuation fees, transportation and travel insurance.

Example:

Megan is an Auckland breeder and purchases a new filly for \$25,000 from a stud in Cambridge. The cost of transporting the filly to Auckland is \$400. Prior to agreeing to the purchase, a vet did a health inspection, and this cost Megan \$1,600. The total cost to Megan is \$27,000. The filly has a cost price valuation of \$27,000 for tax purposes.

Broodmares

Broodmares not previously used for breeding in New Zealand are written down over a maximum of 6 years (if they start breeding at age 2). Broodmares aged 8 and over are written down in full in the year they are first used for breeding. In both cases, the write-down is accelerated by 25% pa.

Broodmares that previously have been used for breeding in New Zealand are written down over a maximum of 7 years (if they start breeding at age 2). Broodmares aged 8 and over are written down in full in the year they are first used for breeding. Write-downs for broodmares that previously have been used for breeding in New Zealand are based on cost price.

The purchase of broodmares in-foal raises 2 options for determining cost price due to a long gestation period that may straddle balance date. Determination of cost price is dependent on whether the foal is born before the first or second balance date of the new owner.

One of the components of a foal's cost is the stallion service fee. Where the mare has been purchased in-foal, the service fee would have been paid by the mare's previous owner. Usually, the stallion service fee is easy to determine. This service fee will contribute to the total purchase price of the mare but needs to be separated out at the time the cost price of the foal is determined. This is on the basis that the service fee component of the mare's purchase price is the amount of the premium paid for the unborn foal. Where the service fee component is not able to be ascertained, the Commissioner will accept an apportionment of the acquisition price between the mare and the foal, based on the recommendation of a recognised bloodstock valuer.

If the amount of the service fee is the same or exceeds the total acquisition price of the in-foal mare, then the mare is valued at \$1. The remainder of the acquisition price will be attributed to the foal's cost price. This recognises the reality that, in these circumstances, the price paid was to acquire the foal and not the mare.

The 2 options available for those taxpayers buying an in-foal mare are:

- # Where the foal is born before the first balance date of the new owner, the service fee component of the acquisition price for the mare would be allocated to the foal. The service fee is deducted from the acquisition price of the mare before applying any reduction to the mare's cost price for that year, and
- # If the mare is still in-foal at the new owners' first balance date, the cost price of the mare will be the total acquisition cost of the mare. The reduction applicable to the mare in that year would then be applied to this total acquisition price.

In the second year of ownership, if no live foal results from the pregnancy, the mare will remain valued at the written down amount set out above and the year 2 reduction applied to it.

If a foal is born in the second year, a cost price will need to be determined for both the mare and the foal at the breeder's balance date for that year. To do this, the service fee component needs to be removed from the mare and attributed to the foal. See determination of cost price of the foal below. This results in a lowering of the mare's value (by the amount attributed to the foal). The year 2 reduction to the mare can then be applied to this resulting lowered value.

Stallions

Stallions not previously used for breeding in New Zealand have an annual straight-line write-down of 50% of the cost price, unless the owner chooses to value the stallion using the reducing value method at the rate of 75%. Stallions that previously have been used for breeding in New Zealand are written down at the rate of 20% pa based on cost price. From 1 August 2007, the slower write down does not apply to shuttle stallions that have been previously used for breeding in New Zealand, if they are subsequently bought by a New Zealand breeder.

Home-bred foals

Unborn foals are not required to be valued at balance date. This is also the case where a mare is purchased by a breeder in-foal. See discussion above for valuation of pregnant mares.

Foals are valued on the breeder's first balance date after they are born. The cost price of home-bred foals is made up of the following:

- # the stallion service fee paid, and
- # any reduction attributable to the mare in the year of foaling, and
- # any foaling, weaning and vet fees incurred in rearing the foal between the birth of the foal and the first balance date.

Where external parties are not employed for foaling and weaning, it may be difficult to determine the exact cost to the breeder in relation to these activities, therefore, the Commissioner will accept a *de minimis* amount of \$500 to be used as an acceptable approximation of these foaling and weaning expenses.

Any expenditure incurred in raising a foal after the first balance date is not required to be added to the cost price of the foal.

Stallion service fees will be relatively easy to determine where the stallion is not the breeder's own, and a stud has been used. Where the breeder owns the stallion, the breeder can choose to determine the service fee in one of 2 ways:

- # the service fee usually charged by the breeder in an arms-length transaction, or
- # the direct costs of the stallion in the year of service divided by the number of mares serviced in that year.

For the latter option, the direct costs are an accumulation of insurance, external service costs (e.g. vet fees), and the stallion's reduction in the year of service.

If a mare has been leased by the breeder, then the cost price of the progeny must include any lease fee paid in the year of foaling.

GST and bloodstock

The valuation of bloodstock is not affected by goods and services tax as regards cost price or market value. The cost price of bloodstock does not include input tax charged to the person at the time of supply. Nor is the tax included in the market value of bloodstock disposed of by the person.

The supply of bloodstock of any age can be zero rated for export within 24 months of supply, provided IR approval had been obtained. (The usual requirement is that goods must be exported within 28 days of supply.) Bloodstock owners must apply in writing to IR enclosing a copy of the sale contract to gain the concession (*Tax Information Bulletin* ¶193-101 Vol 19, No 3, April 2007 at 91).

Law: IT07 ss [EC 38](#)–[EC 45](#)

Last reviewed on 31 December 2025

Aquacultural development expenditure [¶27-350]

[¶27-350]

[Click to open document in a browser](#)

Certain expenditure incurred by a taxpayer running an aquacultural business is capitalised and amortised. The range of deductible expenditure is determined by the sort of business carried on by the aquaculturist. For improvements to an aquacultural business to be deductible, the business must be rock oyster farming, mussel farming, scallop farming, sea-cage salmon farming or freshwater fish farming.

The amount of the deduction is calculated using the formula:

$$\text{Schedule 20 percentage} \times \text{diminished value}$$

The kinds of expenditure eligible for the progressive deduction and the appropriate percentage allowable as a deduction in each income year are set out in Sch 20, pts B–F.

The expenditure must be of benefit to the aquaculture business being conducted in the income year in which that expenditure was incurred. There is no deduction allowed in the income year in which the person ceases to carry on the business.

A person working with aquaculture improvements that the person owns may claim a deduction for development expenses incurred either by the person or by any other person. This allows a deduction for expenses incurred by a previous owner. However, a current lessee may not claim a deduction if the expenditure was incurred by a previous lessee or owner. A person working with improvements that the person does not own may only claim for expenses incurred by the person alone.

If an aquaculture improvement is destroyed or irreparably damaged and made useless for the purposes of deriving income, a deduction may be available for the diminished value of the improvement.

Capital contributions

A “capital contribution” is a payment received under an agreement that is to be applied towards the acquisition of “capital contribution property” under the terms of the agreement. Capital contribution property includes improvements for which expenditure is or would be deductible for the recipient under s [DO 12](#) or [DO 13](#) (this includes expenditure on aquacultural improvements as discussed above).

Capital contributions received by a person are treated as income under s [CG 8](#) in the year of receipt and the following 9 years (see [¶5-356](#)), unless the person elects to apply s [DB 64](#). If s [DB 64](#) is applied, the capital contribution will reduce the amount of the expenditure for the purposes of applying s [DO 12](#) or [DO 13](#) ([¶10-200](#)).

Law: IT07 ss [CG 8](#), [DB 64](#), [DO 12](#), [DO 13](#), [Sch 20](#), pts B–F

Last reviewed on 31 December 2025

Tax status of fishers [¶27-365]

[¶27-365]

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There are a number of different arrangements under which fishers work on fishing boats. In each case it is necessary to ascertain the fisher's status in order to establish the correct income tax and ACC obligations.

For tax purposes it is necessary to ascertain whether the fisher is an employee or an independent contractor. This is because different tax consequences arise depending upon the classification of the fisher ([¶13-376](#) for discussion of the rules to determine whether a person is an employee or an independent contractor).

Fishers who are employees

Fishers who have no other interest in the business apart from supplying their labour are usually employees for tax purposes. For example, deckhands are normally (but not always) considered to be employees. They are paid a wage and, in some instances, a percentage of the catch from each trip. Deckhands may be responsible for casting and hauling nets, lines or pots, and processing fish inshore or on deep-sea fishing vessels.

Where an employment relationship exists, the employer is responsible for deducting the correct amount of PAYE and ACC from salary or wages paid to employees and forwarding this to IR by the relevant due dates.

Fishers who are employees are not allowed to claim any deductions for expenses incurred in earning their employment income.

Fishers who are self-employed

A person making payments to self-employed fishers for "labour-only fishing boat work" must deduct withholding tax. This deduction is at the rate of 20¢ in the dollar. Where a tax rate notification for contractors form ([IR 330C](#)) is not provided by a fisher, withholding tax must be deducted at the non-declaration rate of 45¢ in the dollar.

"Labour-only fishing boat work" is work of services under a contract, arrangement, or agreement for profit-sharing, which is exclusively or substantially for the supply of labour in connection with operating or maintaining a fishing boat that is required to be registered under s 103 of the Fisheries Act 1996.

Self-employed fishers are responsible for filing any necessary income tax returns at the end of the year and to pay provisional tax during the year if necessary. Provisional tax can be paid using the standard (uplift) method, the estimation method or the GST ratio method. For fishers with fluctuating income, the GST ratio method may assist as it is designed to match provisional tax payments with cashflow.

Self-employed fishers may also have to register for GST if a taxable activity is being carried on and the GST-registration threshold is exceeded. Basically, a self-employed fisher should consider their GST-registration status if the value of taxable supplies made in New Zealand in the course of carrying on a taxable activity exceeds or is expected to exceed \$60,000 in any 12-month period.

Employing non-resident fishers

New Zealand-sourced salary or wage payments made to the foreign crew of chartered vessels are subject to PAYE at a flat rate of 10.5% provided that they remain non-residents for the duration of their New Zealand stay. This legislative amendment came about as a result of changes in the regulation of foreign vessels chartered by New Zealand entities to operate in New Zealand waters. The chartering of foreign vessels and crew is common by New Zealand entities that do not have sufficient resources to fish their quota.

The tax changes mean that New Zealand-sourced income of foreign crew members is taxable in New Zealand and subject to PAYE. The flat 10.5% rate was chosen to reflect the level of income that is likely to

be earned by such foreign crew members. The requirement to file end of year income tax returns has been removed to ease compliance costs for the foreign crew members.

To determine the amount of income that is sourced in New Zealand, the actual percentage of time spent within New Zealand's "territorial limits" must be determined. "Territorial limits" includes the Territorial Sea, and the land. The Territorial Sea is the belt of coastal waters extending 12 nautical miles (22.2 km) from the New Zealand coast.

Example:

A foreign charter vessel with a non-resident fishing crew fishes within New Zealand's Exclusive Economic Zone. They come within New Zealand's territorial limits for 11.5 days (rounded to the nearest hour) out of every 31 days.

If the crew members are paid monthly, the proportion of their monthly pay that is sourced in New Zealand and subject to tax is 11.5/31 or 37.1%.

Example from *Tax Information Bulletin* ¶1267-101 Vol 26, No 7, August 2014.

As alluded to above, the tax amendments were part of wider changes in the fishing industry that required foreign charter vessels to be flagged as New Zealand vessels from May 2016. As well as tax changes, there were changes in employment law in an attempt to eliminate human rights and labour abuse.

Law: IT07 ss [DA 2\(3\)](#), [RD 2](#), [RD 4](#), [RD 8](#), [Sch 4, pt E](#)

Last reviewed on 31 December 2025

Deductions for repairs to fishing boats [¶27-368]

[¶27-368]

[Click to open document in a browser](#)

Normal rules are applied to determine the deduction of repair and maintenance expenditure in relation to fishing vessels ([¶10-840](#)). However, there is a special provision in relation to the deduction of the cost of repairs and alterations to the hull, equipment or machinery of any fishing boat when such a cost is incurred in making repairs or alterations required by Pt 19 or Pt 21 of the Maritime Rules made under the Maritime Transport Act 1994. A person carrying on a fishing business in New Zealand can spread the deduction of this type of expenditure over a 5-year period. If the person ceases to carry on the fishing business before the end of that 5-year period, the deduction may be spread over the period in which the business is carried on. To take advantage of the spreading, the fishing boat must have been used wholly for the purposes of the fishing business. Note the specific definitions of “fishing boat” and “fishing business” in s [EJ 2\(6\)](#).

Law: IT07 s [EJ 2](#)

Last reviewed on 31 December 2025

Fishing gear and quotas [¶27-371]

[¶27-371]

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Fishing gear

The purchase of fishing gear (eg nets, floats, lines, sweeps) must generally be capitalised and depreciated in accordance with the rates set by the Commissioner in various depreciation determinations.

Fishing quotas

In brief, the property rights in fishing quotas (individual transferable quotas or ITQs) are distinguished as “quota shares”, the property right, and “annual catch entitlement”, or ACE, the catching right. The ACE is often transferred between owners to create balanced packages of quotas for each owner to fish against. The transfer price or resource rental paid (based on the tonnage of fish which can be caught) is a revenue expense and is therefore deductible.

IR views quota shares as capital assets. Accordingly, the payments made on the sale of those shares are non-taxable to the seller and non-deductible to the purchaser. Profits from the sale of those shares may be assessable income of the seller if the seller is either in the business of dealing in them or if the shares have been acquired for the purpose of selling or otherwise disposing of them. Quota shares cannot be depreciated for tax purposes (*Tax Information Bulletin* [¶123-103 Vol 12, No 3](#), March 2000, at 8).

GST

The sale of an ITQ is in the course or furtherance of a taxable activity. See the High Court decision in *Hibell v C of IR* ([\(1991\) 13 NZTC 8,195](#)). Therefore, the vendor is required to return output tax on the sale. If the purchaser is also GST-registered, they will be entitled to claim GST input tax on the purchase.

When fishing for species for which it holds quota, a fisher frequently catches other quota species (by-catch) for which it does not hold quota. A fisher can surrender by-catch, buy quota or pay deemed values. Deemed value payments are consideration for a taxable supply. See *Pacific Trawling Ltd v Chief Executive of the Ministry of Fisheries* ([\(2005\) 22 NZTC 19,204](#)).

Secondhand goods credit

The Commissioner has released 2 public binding rulings on whether a GST-registered person can claim a secondhand GST input tax credit on the purchase of a fishing quota, or a coastal permit or certificate of compliance for the principal purpose of making taxable supplies. Briefly, the rulings provide as follows:

- # No secondhand input tax credit may be claimed for the purchase of fishing quota ([BR Pub 15/01](#)).
- # No secondhand input tax credit may be claimed for the purchase of a coastal permit or certificate of compliance ([BR Pub 15/02](#)).

[BR Pub 15/01](#) and [BR Pub 15/02](#) apply to supplies made from 1 July 2014 for an indefinite period.

Last reviewed on 31 December 2025

Valuation of fishing catch [¶27-375]

[¶27-375]

[Click to open document in a browser](#)

The trading stock rules apply to the valuation of a fishing catch ([¶9-010](#) onwards). A market value basis might be used in some cases and it can be determined by reference to the actual sale price contracted with the customer or the auction price on the day that the catch is sold. More commonly, a cost basis is used.

Last reviewed on 31 December 2025

Purchase of land and buildings for horticulture business [¶27-380]

[¶27-380]

[Click to open document in a browser](#)

The cost of acquiring land is generally capital expenditure and therefore not deductible. Therefore, land purchased for the purposes of carrying on horticulture will be non-deductible in most cases. Expenditure incurred in borrowing money to make the purchase may be deductible. Where the land is leased, a deduction may also be available for the expenses incurred in preparation of the lease.

The purchase of a building involves capital expenditure. However, the building may then be eligible for depreciation allowances.

Determination [PROV24](#): “Tax Depreciation Rates Provisional Determination Number PROV24” provides that specialised mushroom factories and buildings accounted for separately are depreciable property that has an estimated useful life of 33.3 years due to the wet and humid environment that is required for growing mushrooms.

Law: IT07 ss [DB 5](#), [DB 18](#)

Last reviewed on 31 December 2025

Development expenditure for land improvements [¶27-385]

[¶27-385]

[Click to open document in a browser](#)

Certain types of expenditure on enhancements to land and for erosion, shelter and water protection plantings are allowed as a deduction under ss [DO 1](#) and [DO 2](#). In addition, an amortisation-type deduction for farming or agricultural land improvements is allowed under s [DO 4](#). The application of all these sections is restricted to those persons actively engaged in the business of farming or agriculture ([¶27-165](#) and [¶27-175](#)).

Law: IT07 ss [DO 1](#), [DO 2](#), [DO 4](#)

Last reviewed on 31 December 2025

Bird netting used by grape growers [¶27-387]

[¶27-387]

[Click to open document in a browser](#)

The Commissioner has issued 2 separate items in Tax Information Bulletins regarding the appropriate tax treatment for the costs of bird netting used by grape growers to protect ripening grapes from birds.

The first item, published in *Tax Information Bulletin* [¶76-114 Vol 7, No 6](#), December 1995 at 21, concludes that netting of a cost of \$12,000 and estimated to last for little more than a year is a deductible expense (under s [DA 1](#)) and not of a capital nature because:

- # it does not increase the useful life of an asset
- # it is a recurrent rather than a one-off expense, and
- # it does not confer an enduring benefit on the taxpayer.

However, the Commissioner has also issued a general depreciation determination (under s [EE 25](#)) concerning bird netting. The Commissioner has stated that so long as the netting in question lasts for only one year, it can be expensed. Otherwise, it must be capitalised and depreciated in accordance with the determination (*Tax Information Bulletin* [¶107-112 Vol 10, No 7](#), July 1998 at 7).

Last reviewed on 31 December 2025

Purchase and planting of horticultural plants [¶27-390]

[¶27-390]

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A summary of the income tax treatment of horticultural plants is set out below.

- # Horticultural plants are classified either as “listed horticultural plants” or “non-listed horticultural plants” for tax purposes.
- # The Commissioner can determine different amortisation rates for different plants to more accurately reflect a particular plant's useful life.
- # The Commissioner must take into account the estimated useful life of a plant when determining its amortisation rate.
- # A deduction is allowed for expenditure on planting listed horticultural plants and non-listed horticultural plants.
- # A deduction is allowed for replacement planting of listed horticultural plants.

The estimated useful life of a listed horticultural plant is the period of time over which the listed horticultural plant might reasonably be expected to be useful to a person in deriving income in or carrying on a business in New Zealand, with the expectation based on an assumption of normal and reasonable maintenance.

A more detailed explanation of the regime that applies to listed horticultural plants is provided in [¶27-400](#) and [¶27-410](#).

For discussion of the deduction allowed for expenditure on planting non-listed horticultural plants, see [¶27-175](#).

Law: IT07 ss [DO 5–DO 9](#), [YA 1](#) (“[listed horticultural plant](#)”, “[non-listed horticultural plant](#)”)

Last reviewed on 31 December 2025

Deduction for planting of listed horticultural plants [¶27-400]

[¶27-400]

[Click to open document in a browser](#)

An amortisation deduction is allowed to a person in an income year for expenditure incurred by the person, or by another person, for planting a listed horticultural plant if all of the following criteria are satisfied:

- # the person carries on a farming or agricultural business (including a horticultural business) on land in New Zealand
- # the land is developed by planting listed horticultural plants on the land
- # the development of the land benefits the business, and
- # the person is entitled to a deduction for expenditure incurred on land developments.

The deduction for the planting is available for expenditure incurred by the person or by another person.

The deduction is not allowed in the income year in which the person disposes of the land (if the person owns the land) or the person ceases to carry on the farming or agricultural business (if the person does not own the land).

The term “planting” is defined in s [DO 8](#) for the purposes of the deductions allowed under the rules for listed horticultural plants. Briefly, the term means one or more listed horticultural plants that form part of the business of the person during the income year and for which the person must account separately in the income year from other listed horticultural plants, if any, that form part of the person’s business. See further below under the heading “Accounting requirements”.

Listed horticultural plant

A “listed horticultural plant” is defined in s [YA 1](#) as a horticultural plant, tree, vine, bush, cane or similar plant that is cultivated on land and is of a type listed in a determination made by the Commissioner. The term does not include trees planted mainly for the purpose of timber production, ornamental trees or vines planted mainly for the purpose of wine production.

Amount of deduction

The amount of the deduction is the diminished value of the expenditure incurred multiplied by the percentage rate determined by the Commissioner for the type of listed horticultural plant (see below under the heading “Commissioner’s determination”). A table of rates may be found at [¶50-160](#) onwards. Broadly, the diminished value of the expenditure is the balance of the cost of the expenditure incurred after deducting the amortised amounts claimed in previous years. However, see further below for variations.

If a listed horticultural plant ceases in an income year to exist or to be used in deriving assessable income and the person has no deduction for expenditure incurred in replacing the plant ([¶27-410](#)), a deduction is allowed for the diminished value of the expenditure on the listed horticultural plant at the time that the plant ceased to exist or to be used in deriving assessable income for the income year.

If a deduction is allowed for expenditure incurred on a replacement planting ([¶27-410](#)), the person may elect to increase the diminished value, at the end of the income year, of the expenditure on listed horticultural plants that are in the planting at the end of the income year by the diminished value, immediately before the replacement, of the expenditure on a listed horticultural plant that is replaced. The person may also choose the method of making this increase. The election is made in the person’s tax return for the income year.

Accounting requirements

If a person claims an amortisation deduction in an income year and the person has also claimed a deduction for replacement plantings ([¶27-410](#)) for either or both of the 2 immediately preceding income years, the person must account separately for the listed horticultural plants that:

- # the person acquires in the income year
- # benefit the person's business in the income year, and
- # are not replacement plants.

If a person claims an amortisation deduction in an income year and the person has not claimed a deduction for replacement planting ([¶27-410](#)) for both of the 2 immediately preceding income years, the person may account for all of the listed horticultural plants as one planting.

Capital contributions

A "capital contribution" is a payment received under an agreement that is to be applied towards the acquisition of "capital contribution property" under the terms of the agreement. Capital contribution property includes improvements for which expenditure is or would be deductible for the recipient under s [DO 5](#) or [DO 6](#) (including expenditure on planting listed horticultural plants).

Capital contributions received by a person are treated as income under s [CG 8](#) in the year of receipt and the following 9 years ([¶15-356](#)), unless the person elects to apply s [DB 64](#). If s [DB 64](#) is applied, the capital contribution will reduce the amount of the expenditure for the purposes of applying s [DO 5](#) or [DO 6](#) ([¶10-200](#)).

Commissioner's determination

The Commissioner has the power to determine what type of horticultural plant is to be a "listed horticultural plant" and also the amortisation rate to be applied in calculating the amount of deduction allowed for the planting of that type of plant.

When making the determination, the Commissioner is required to take into account the estimated useful life of the type of plant (ie the period of time over which the listed horticultural plant might reasonably be expected to be useful to a person in deriving income or carrying on a business, assuming normal and reasonable maintenance). The Commissioner also has the discretion to take into account the main purpose for which the type of plant is cultivated and the manner in which the type of plant is cultivated and managed.

A notice of a determination made in relation to horticultural plants must be published in a publication chosen by the Commissioner within 30 days of the date of issue.

A determination made in relation to horticultural plants may be disputed or challenged under the disputes resolution process.

Determination [DET 05/01](#): "Amortisation rates for listed horticultural plants" includes a discussion and flow chart of the process to be followed to have a horticultural plant classified as a "listed horticultural plant" or to have an amortisation rate for such a plant amended.

Law: IT07 ss [CG 8](#), [DB 64](#), [DO 5](#), [DO 7](#), [DO 8](#), [YA 1](#) ("capital contribution", "capital contribution property", "listed horticultural plant"); TAA s [91AAB](#)

Last reviewed on 31 December 2025

Replacement planting of listed horticultural plants [¶27-410]

[¶27-410]

[Click to open document in a browser](#)

A deduction is allowed to a person for expenditure incurred in an income year for replacing a listed horticultural plant, provided all of the following criteria are satisfied:

- # the person carries on a horticultural business on land in New Zealand
- # the person plants, causes to be planted, regrafts or causes to be regrafted on the land a listed horticultural plant as a replacement plant
- # the replacement plant benefits the business
- # the person does not dispose of the land on which the listed horticultural plant is cultivated, and
- # the person elects to claim a deduction for replacement planting.

The election to claim a deduction for replacement planting is made by adopting a tax position in a tax return for the current year. A “replacement plant” is defined in s [YA 1](#) as a listed horticultural plant that replaces a listed horticultural plant, whether or not it is the same type of listed horticultural plant.

“Planting” has the same meaning as for a deduction claimed under s [DO 5 \(¶27-400\)](#).

Amount of deduction

The amount of the deduction for replacement planting is dependent on whether or not the person has had a deduction for replacement planting in the 2 immediately preceding income years. A different calculation is provided for each case.

No previous deduction

If there has been no deduction allowed for either or both of the 2 immediately preceding income years, the amount of the deduction is calculated as follows:

$$\text{replacement expenditure} \times 7.5\% \div \text{fraction}$$

where:

- replacement expenditure** is the amount of the expenditure incurred by the person in replacing the listed horticultural plant, and
- fraction** is the greater of 7.5% and the replaced area fraction for the planting for the current income year.

Previous deduction

If a person has had a deduction for replacement planting for both of the 2 immediately preceding income years, the amount of the deduction for the current income year is the smaller of 2 calculations. The first calculation is in accordance with the formula discussed above (ie the calculation for a person who has not had a deduction for replanting in the 2 immediately preceding income years). The second calculation is in accordance with the following formula:

$$\text{replacement expenditure} \times (15\% \# \text{earlier fraction} \# \text{later fraction}) \div \text{replaced area fraction}$$

where:

- replacement expenditure** is the amount of expenditure incurred by the person
- earlier fraction** is the lesser of 7.5% and the replaced area fraction for the planting for the earlier of the 2 income years preceding the current income year
- later fraction** is the lesser of 7.5% and the replaced area fraction for the planting for the later of the 2 income years preceding the current income year, and

replaced area fraction is the replaced area fraction for the planting for the current income year.

See *Tax Information Bulletin* ¶171-117 Vol 17, No 1, February 2005 at 44 for background to the replacement planting rules.

Capital contributions

A “capital contribution” is a payment received under an agreement that is to be applied towards the acquisition of “capital contribution property” under the terms of the agreement. Capital contribution property includes improvements for which expenditure is or would be deductible for the recipient under s [DO 6](#).

Capital contributions received by a person are treated as income under s [CG 8](#) in the year of receipt and the following 9 years ([¶5-356](#)), unless the person elects to apply s [DB 64](#). If s [DB 64](#) is applied, the capital contribution will reduce the amount of the expenditure for the purposes of applying s [DO 6](#) ([¶10-200](#)).

Law: IT07 ss [CG 8](#), [DB 64](#), [DO 6](#), [DO 8](#), [DO 9](#), [YA 1](#) (“capital contribution”, “capital contribution property”, “listed horticultural plant”, “replacement plant”)

Last reviewed on 31 December 2025

Plant variety rights [¶27-415]

[¶27-415]

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Plant variety rights are defined to mean “proprietary rights granted for a plant variety under the Plant Variety Rights Act 1987 or similar rights given similar protection under the laws of a country or territory other than New Zealand”.

[Schedule 14](#), which lists intangible depreciable property, includes plant variety rights or the right to use such rights, thus allowing a New Zealand taxpayer to claim depreciation in respect of plant variety rights or rights secured offshore ([¶13-560](#)).

The “royalty” definition in s [CC 9\(2\)](#) also includes a reference to plant variety rights in para (a). For the treatment of royalties, see [¶5-283](#).

Law: IT07 ss [CC 9\(2\)\(a\)](#), [YA 1](#) (“[plant variety rights](#)”)

Last reviewed on 31 December 2025

Expenditure on bulbs and tubers [¶27-420]

[¶27-420]

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Expenditure on bulbs and tubers for a flower farming business, including expenditure on acquiring a basic stock of bulbs with which to establish the business, has been held to be a deductible expense. In *Case S38 (1995) 17 NZTC 7,255*, all expenditure on bulbs and tubers was found to be expenditure for the purpose of gaining or producing assessable income and part of the flower farming process or activity rather than part of the structure on which the growing activity was based.

On the valuation of nursery plants, see [¶27-500](#).

Last reviewed on 31 December 2025

Recurring annual costs for tending trees [¶27-445]

[¶27-445]

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Until the trees reach fruit-bearing age, there will be expenditure in cultivating, pruning, spraying, rates, insurance, depreciation, and similar recurring annual charges. The expenses of tending the trees that have not reached fruit-bearing age, being annually recurring, are deductible notwithstanding that they were incurred to earn profit in future years.

Last reviewed on 31 December 2025

ENZA and T&G [¶27-460]

[¶27-460]

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Enzafruit merged with Turners and Growers (T&G) to export New Zealand pipfruit to Europe. T&G deducts certain statutory levies, such as horticultural levies that are forwarded to the relevant body. Any levy paid through T&G is an allowable deduction when there is no provision for repayment of the levy.

T&G charges growers a freight and storage charge when fruit is stored at T&G-owned storage locations. This is an operational charge and is deductible by the grower.

Last reviewed on 31 December 2025

Valuation of nursery plants [¶27-500]

[¶27-500]

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Generally, nursery plants that are trading stock must be valued at either market selling value or cost (ie the normal trading stock rules apply). See [¶9-010](#) onwards. As to whether plants are covered by the current definition of trading stock ([¶9-010](#)).

IR released an administrative interpretation on the valuation of nursery plants under the discounted selling price method (*Tax Information Bulletin* [¶1311-117 Vol 13, No 11](#), November 2001 at 68).

Last reviewed on 31 December 2025

Beekeeping farming or agricultural business [¶27-505]

[¶27-505]

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IR accepts that beekeeping comes within the definition of an activity carried on for farming or agricultural purposes. Beekeepers, therefore, are given the same concessions that other farmers have, such as allowable deductions under s [DO 1 \(¶27-175\)](#) and access to income equalisation schemes.

Last reviewed on 31 December 2025

Valuation of hives [¶27-510]

[¶27-510]

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Ordinary commercial beekeeper hives are a capital asset and are not trading stock for the following reasons:

- # The hives as housing have a semi-permanent nature in the same manner as farm buildings, even though the bees themselves have a life of only 6 to 8 weeks.
- # There is no ready market for bees as such, and it would not be economic for the beekeeper to raise additional colonies of bees for sale.
- # It is a matter of fact that the ordinary commercial beekeeper does not engage in trading in bees or in hives.
- # “Supers” and “bottom boards”, which comprise the hive buildings, are now generally purchased fully manufactured and are not constructed by the beekeeper.

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